

TENTATIVE RULINGS

DEPT CX102

Judge Layne H. Melzer

Court Reporters: Official court reporters (i.e., court reporters employed by the Court) are **NOT** typically provided for law and motion matters in this department. If a party desires a record of a law and motion proceeding, it will be the party's responsibility to provide a court reporter. Parties must comply with the court's policy on the use of privately retained court reporters which can be found on the court's website at [Court Reporter Services | Superior Court of California | County of Orange](#).

Tentative rulings: The court endeavors to post tentative rulings on the court's website in the morning, prior to the afternoon hearing. However, ongoing proceedings such as jury trials may prevent posting by that time. Tentative rulings may not be posted in every case. Please do not call the department for tentative rulings if tentative rulings have not been posted. The court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on tentative rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5302. Please do not call the department unless all parties submit on the tentative ruling. If all sides submit on the tentative ruling and so advise the court, the tentative ruling shall become the court's final ruling and the prevailing party shall give notice of the ruling and prepare an order for the court's signature if appropriate under Cal. R. Ct. 3.1312.

Non-appearances: If nobody appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

APPEARANCES: Department CX102 conducts non-evidentiary proceedings, such as law and motion, remotely, by Zoom videoconference pursuant to CCP §367.75, California Rule of Court (CRC) 3.672 and Orange County Local Rule (OCLR) 375. All counsel and self-represented parties appearing for such hearings must check-in online through the Court's civil video appearance website at [Civil Remote Hearings | Superior Court of California | County of Orange](#) prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Participants will initially be directed to a virtual waiting room pending the start of their specific video hearing. Check-in instructions and instructional video are available on the website. The Court's "Appearance Procedures and Information--Civil Unlimited and Complex" ("Appearance Procedures") and "Guidelines for Remote Appearances" ("Guidelines") contained on the Court's website will be strictly enforced. Parties preferring to appear in-person for law and motion hearings may do so pursuant to CCP §367.75 and OCLR 375.

PUBLIC ACCESS: The courtroom remains open for all evidentiary and non-evidentiary proceedings.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

TENTATIVE RULINGS**7/09/2026****02:00 PM**

100	Higginbotham vs. Newport Beach Vineyards & Winery, LLC 2023-01320469	Final Accounting The court finds all settlement distribution efforts are fully concluded. The administrator's final report (ROA 90) is thus approved, and the court's file will be closed. Plaintiff to give notice of the court's ruling, including to the LWDA, within five (5) calendar days, and file proof of service.
101	Hooper vs. Vizio, Inc. 2020-01144007	Final Accounting Plaintiff Chad Hooper's Final Accounting hearing is CONTINUED to November 5, 2026 at 2:00 p.m. in Department CX102 to confirm that the amount of the uncashed checks after the check-cashing deadline has been delivered to the State Controller's Office Unclaimed Property Fund in the names of the applicable payees, that the administrator's work is complete, and that the Court's file thus may be closed. All supporting papers must be filed at least sixteen (16) court days before the continued hearing date. If a supplemental report cannot be filed by this deadline, counsel must request a continuance. Failure to request a continuance may result in the issuance of an Order to Show Cause re Monetary Sanctions. Plaintiff is ordered to give notice of this ruling to Defendant.
102	Corelogic, Inc. vs. Underwriters at Lloyds Syndicate 4711 Asp Subscribing To Policy No. B0713medte2001034 2025-01521725	Motion to Appear Pro Hac Vice Plaintiffs' application for pro hac vice admission of attorney Esther Y. Kim is GRANTED. On or before the anniversary of the date of this order, if this attorney remains counsel for the moving parties, the moving parties must pay an annual renewal fee of five hundred dollars (\$500) for each year that the attorney maintains pro hac vice status in this case. (Gov. Code, § 70617, subd. (e)(2).) Moving parties shall provide notice.

103	Medero vs. Norada Capital Management 2024-01445239	Motion to Appear Pro Hac Vice Defendant Ronald Fossum Jr.’s application for pro hac vice admission of attorney Miranda S. Ratcliffe is GRANTED. On or before the anniversary of the date of this order, if this attorney remains counsel for the moving party, the moving party must pay an annual renewal fee of five hundred dollars (\$500) for each year that the attorney maintains pro hac vice status in this case. (Gov. Code, § 70617, subd. (e)(2).) Moving party shall provide notice.
104	Orange County Transportation Authority vs. Deen 2021-01214128	Motion to Be Relieved as Counsel of Record Attorney Joseph D. Larsen and law firm Rutan & Tucker LLP’s motion to be relieved as counsel of record for Defendant Omar Deen is GRANTED, effective upon the filing of the proof of service of the signed order upon the client. (Code Civ. Proc., § 284, subd. 2.) Moving counsel shall lodge with the Court an updated proposed order listing (1) the updated 1/7/2027 date for the next hearing (OSC and Status Conference) and (2) the 2/26/2027 pretrial conference. Moving counsel shall give notice of this ruling.
105	Barber vs. Multi Media, LLC 2025-01531751	1. Demurrer to Complaint 2. Motion for Protective Order 3. Motion to Strike portions of Demurrer 1. Defendants’ Demurrer to Complaint Defendants Bayside Support Services LLC and Multi Media LLC’s demurrer to Plaintiff Neal Barber’s complaint is SUSTAINED IN PART WITH LEAVE TO AMEND and SUSTAINED IN PART WITHOUT LEAVE TO AMEND. (Code Civ. Proc. [CCP], § 430.10, subd. (e).) Plaintiff shall have leave to file and serve a first amended complaint within 21 days of notice. On a demurrer, a complaint “must be liberally construed, with a view to substantial justice between the parties.” (CCP § 452; <i>see also Redfearn v. Trader Joe’s Co.</i> (2018) 20 Cal.App.5th 989, 996.)

“A demurrer tests the legal sufficiency of the factual allegations in a complaint.” (*Redfearn v. Trader Joe’s Co.* (2018) 20 Cal.App.5th 989, 996.) The court must determine “whether the complaint alleges facts sufficient to state a cause of action or discloses a complete defense.” (*Ibid.*) The court assumes “the truth of the properly pleaded factual allegations, facts that reasonably can be inferred from those expressly pleaded[,] and matters of which judicial notice has been taken.” (*Ibid.*)

Indeed, all the court must do is “determine if the *factual* allegations of the complaint are adequate to state a cause of action under any legal theory.” (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38-39, emphasis original; see also *Sheehan v. San Francisco 49ers, Ltd.* (2009) 45 Cal.4th 992, 998 [general demurrer may be sustained “only if the complaint fails to state a cause of action under any possible legal theory”].)

“[I]f upon a consideration of all the facts stated it appears that the plaintiff is entitled to any relief . . . , the complaint will be held good, although the facts may not be clearly stated, or may be intermingled with a statement of other facts irrelevant to the cause of action shown, or although the plaintiff may demand relief to which he is not entitled under the facts alleged.” (*Chase Chemical Co. v. Hartford Accident & Indemnity Co.* (1984) 159 Cal.App.3d 229, 242, quoting *Matteson v. Wagoner* (1905) 147 Cal.739, 742.) “Erroneous or confusing labels attached by the inept pleader are to be ignored if the complaint pleads facts which would entitle the plaintiff to relief.” (*Saunders v. Cariss* (1990) 224 Cal.App.3d 905, 908; see also *Martinez v. City of Clovis* (2023) 90 Cal.App.5th 193, 262 [considering claim under different label because “courts examine the entire complaint and are not limited by the labels and structure used in the pleading”].)

“Questions of fact . . . cannot be decided on demurrer.” (*Berryman v. Merit Property Management, Inc.* (2007) 152 Cal.App.4th 1544, 1556.) Because a demurrer tests only the legal sufficiency of the complaint, “[a] court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged in the complaint or are proper subjects of judicial notice.” (*Hall v. Great West Bank* (1991) 231 Cal.App.3d 713, 718, fn. 7.)

“Where the complaint is defective, ‘[i]n the furtherance of justice great liberality should be exercised in permitting a plaintiff to amend [the] complaint.’” (*Redfearn v. Trader Joe’s Co.* (2018) 20 Cal.App.5th 989, 996, quoting *Aubry v. Tri-City Hospital Dist.*, *supra*, 2 Cal.4th at pp. 970-971.) Indeed, leave to amend an original complaint should generally be granted unless the complaint shows on its face that it is incapable of amendment. (*Tarrar Enterprises, Inc. v. Associated Indemnity Corp.* (2022) 83 Cal.App.5th 685, 688-689.) However, “‘leave to amend should *not* be granted where . . . amendment would be futile.’” (*Redfearn*, *supra*, 20 Cal.App.5th at p. 997, italics original in *Redfearn*, quoting *Vaillette v. Fireman’s Fund Ins. Co.* (1993) 18 Cal.App.4th 680, 685.)

1st cause of action for negligence – SUSTAINED WITH LEAVE TO AMEND.

Defendants demur to the 1st cause of action for negligence on the ground that Plaintiff alleges a workplace injury claim falls squarely within the purview of workers' compensation, which provides the sole and exclusive remedy and therefore preempts Plaintiff's negligence claim. (ROA #76, Mot. P&A, at pp. 5-7.)

"As a general rule, an employee who sustains an industrial injury 'arising out of and in the course of employment' is limited to recovery under the workers' compensation system." (*Torres v. Parkhouse Tire Services, Inc.* (2001) 26 Cal.4th 995, 1001; see also *Yau v. Santa Margarita Ford, Inc.* (2014) 229 Cal.App.4th 144, 161 ["Physical and emotional injuries sustained in the course of employment are preempted by the workers' compensation scheme and generally will not support an independent cause of action"].) Accordingly, "both IIED claims and negligence claims arising in the course of employment are barred 'when the misconduct attributed to the employer is actions which are a normal part of the employment relationship, such as demotions, promotions, criticism of work practices, and frictions in negotiations as to grievances.'" (*Kaldis v. Wells Fargo Bank, N.A.* (C.D.Cal. 2017) 263 F.Supp.3d 856, 867, quoting *Cole v. Fair Oaks Fire Protection Dist.* (1987) 43 Cal.3d 148, 160.)

In opposition, Plaintiff's opposition offers no rebuttal on this point and can therefore be treated as a concession that Plaintiff's negligence cause of action based on allegations about Defendants' conduct during Plaintiff's employment are preempted by workers' compensation. (See *DuPont Merck Pharmaceutical Co. v. Super. Ct.* (2000) 78 Cal.App.4th 562, 566 ["By failing to argue the contrary, plaintiffs concede this issue"].) Indeed, Plaintiff concedes that "[w]orkers' compensation exclusivity bars claims for injury arising out of and in the course of employment." (ROA #55, Opp., p. 6.)

But Plaintiff does contend that the complaint alleges Plaintiff suffered injuries as a result of Defendants' pre-employment conduct—i.e., the complaint alleges that Defendants withheld from the materials used to describe the position to Plaintiff any reference to the job's actual duties, its psychological hazards, or the absence of any safeguard against them, an omission intended to induce his acceptance of it, and that Plaintiff accepted the position based on that omission, without any opportunity to understand the true nature or risks of the work he was being offered. (*Id.*, citing Compl. ¶¶ 28-29.) Thus, "there [wa]s no employment relationship yet for the breach of arise in the course of." (*Id.* at p. 7.) Plaintiff contends that "California courts have repeatedly treated an employer's description of the title, duties, or conditions of work being offered, made before any employment relationship exists, as conduct outside the ordinary employer employee bargain. Misrepresentations regarding a position's title and duties are independently actionable." (*Id.* at p. 6.) In support, Plaintiff cites three cases: *Tyco Industries, Inc. v. Superior Court* (1985) 164 Cal.App.3d 148; *Seubert v. McKesson Corp.* (1990) 223 Cal.App.3d 1514; and *Munoz v. Kaiser Steel Corp.* (1984) 156 Cal.App.3d 965, 980.

All three cases involved claims made under Labor Code section 970, which essentially provides for a claim against an employer for knowingly making

false representations to “influence, persuade, or engage any person to change from one place to another in this State or from any place outside to any place within the State, or from any place within the State to any place outside, for the purpose of working in any branch of labor.” (Lab. Code, § 970.)

As Defendants point out in reply, Plaintiff has not alleged anywhere in the complaint that he relocated anywhere to take the job with Defendant. Therefore, Labor Code section 970 does not apply to Plaintiff’s claim as pleaded in the complaint. (*Eisenberg v. Alameda Newspapers, Inc.* (1999) 74 Cal.App.4th 1359, 1392 [holding claim under Labor Code section 970 to be “meritless” because “[t]he statute is inapplicable” since “an employee must establish that the employer induced him or her to relocate or change residences,” and “[t]here was no such evidence in this case”].)

Defendants contend that leave to amend should not be granted because it would be futile, as Plaintiff “will not be able to allege that he was induced to relocate” because Plaintiff is and has always been a Nevada resident. (ROA #69, Reply, p. 3.) However, the complaint contains no allegations of where Plaintiff resides, either currently or previously. Therefore, the complaint, on its face, does not show that amendment is impossible or would be futile.

Accordingly, Defendants request that the Court take judicial notice of Plaintiff’s previous complaint filed in an earlier federal court action, in which Plaintiff alleged that he resided and worked for Defendants in Nevada. (Mot. P&A at p. 1, fn. 2, citing ROA #16, RJN, Exh. 1 at ¶ 6.) However, while a court may take judicial notice of a record of another court under Evidence Code section 452, subdivision (d), including complaints filed in other court actions, the court may not “use the allegations in those complaints to resolve factual disputes for purposes of [a] demurrer.” (*Richtek USA, Inc. v. uPI Semiconductor Corp.* (2015) 242 Cal.App.4th 651, 659-660.) “Although in ruling on a demurrer courts may take judicial notice of files in other judicial proceedings, this does not mean that they take judicial notice of the truth of factual matters asserted therein. There exists a mistaken notion that this means taking judicial notice of the existence of facts asserted in every document of a court file, including pleadings and affidavits. However, a court cannot take judicial notice of hearsay allegations as being true, just because they are part of a court record or file. A court may [only] take judicial notice of the existence of each document in a court file. . .” (*Bach v. McNelis* (1989) 207 Cal.App.3d 852, 865, internal quotes, citations, & ellipses omitted.) Thus, the Court may only take judicial notice of the existence of the complaint filed in the earlier federal court action, but the Court may not take judicial notice of the truth of Plaintiff’s allegation in that complaint that Plaintiff is a Nevada resident.

In sum, the Court **SUSTAINS** the demurrer as to the 1st cause of action because it is preempted by workers’ compensation law and Plaintiff has not alleged sufficient facts to state a claim under Labor Code section 970, but **GRANTS LEAVE TO AMEND**.

2nd cause of action for intentional infliction of emotional distress – SUSTAINED WITHOUT LEAVE TO AMEND.

Defendants also demur to the 2nd cause of action for IIED on the same ground as the 1st cause of action for negligence—namely, that Plaintiff alleges a workplace injury claim falls squarely within the purview of workers’ compensation, which provides the sole and exclusive remedy and therefore preempts Plaintiff’s negligence claim. (Mot. P&A at pp. 5-8.)

In opposition, Plaintiff contends that Defendants’ demurrer treats this claim “as nothing more than a pre-injury failure to warn about the hazards of the job” but “ignores the narrower theory the Complaint actually pleads: that once Defendants learned Plaintiff was already injured, they concealed that knowledge and continued exposing him to the conditions aggravating it.” (Opp. at p. 8.) Plaintiff contends that “Labor Code section 3602, subdivision (b)(2) permits an action at law where an employee’s injury is aggravated by the employer’s fraudulent concealment of the existence of the injury and its connection with the employment.” (*Id.*)

Labor Code section 3602, subdivision (b)(2) codifies a common law fraudulent concealment exception to workers’ compensation exclusivity that was first enunciated in *Johns-Manville Products Corp. v. Superior Court* (1980) 27 Cal.3d 465, which involved workplace exposure to toxic substances resulting in injury. (*Jensen v. Amgen, Inc.* (2003) 105 Cal.App.4th 1322, 1325.) The statute permits an employee to “bring an action at law for damages against the employer . . . [w]here the employee’s injury is aggravated by the employer’s fraudulent concealment of the existence of the injury and its connection with the employment, in which case the employer’s liability shall be limited to those damages proximately caused by the aggravation.” (Lab. Code, § 3602, subd. (b)(2).)

“Thus, to recover under this exception, the plaintiff need[s] to prove that (1) the employer knew of the plaintiff’s work-related injury; (2) the employer concealed the knowledge from the plaintiff; and (3) the injury was aggravated as a result of such concealment.” (*Silas v. Arden* (2012) 213 Cal.App.4th 75, 91.)

Plaintiff contends that ¶ 55 of the complaint adequately pleads all 3 elements (Opp. at p. 9):

55. Defendants were aware that Plaintiff and other content moderators were experiencing emotional and psychological distress arising from their work. Plaintiff and other moderators reported symptoms of distress, visible emotional reactions, and difficulty continuing their assignments. Despite this knowledge, Defendants did not remove Plaintiff from exposure, did not modify his workload, and did not implement any of the Protocols, but instead required him to continue reviewing traumatic content under the same unsafe conditions, demonstrating a conscious disregard for the known probability of severe emotional harm. This knowing refusal to act in the face of reported harm is conduct that courts repeatedly recognize as outside the workers’ compensation exclusivity doctrine.

(Compl., ¶ 55.)

However, as Defendants point out in their reply (Reply at p. 5), Labor Code section 3602(b)(2)'s exception requires a showing of fraudulent *concealment* on which the employee *relied*.” (*Davis v. Lockheed Corp.* (1993) 13 Cal.4th 519, 523, *emphases original*.) It therefore does not apply where, as here, the employer “did not conceal the existence of [plaintiff’s] injury. [Plaintiff] herself knew of her symptoms before anyone at [employer] did.” (*Jensen, supra*, 105 Cal.App.4th at p. 1326.)

Indeed, Labor Code section 3602(b)(2)'s exception “does not apply where the employee was aware of the injury at all times.” (*Jimenez v. Mrs. Gooch’s Natural Food Markets, Inc.* (2023) 95 Cal.App.5th 645, 658, *internal quotes omitted*.) Where “the complaint does not allege that [the employee] was unaware of his injury” and the complaint cannot “reasonably do so,” “[t]his point is fatal to plaintiffs’ argument,” and the court may hold “as a matter of law” that the fraudulent concealment exception to workers’ compensation exclusivity does not apply *and* sustain the demurrer without leave to amend because amendment would be futile. (*Id.* at pp. 658-659.)

Here, the complaint alleges that “Defendants were aware that Plaintiff and other content moderators were experiencing emotional and psychological distress arising from their work” because “Plaintiff and other moderators reported symptoms of distress, visible emotional reactions, and difficulty continuing their assignments.” (Compl., ¶ 55.) Therefore, because the complaint alleges that Plaintiff was aware of his injuries, amendment would be futile.

In sum, the Court **SUSTAINS WITHOUT LEAVE TO AMEND** the demurrer as to the 2nd cause of action because it is preempted by workers’ compensation law and Plaintiff has not alleged and cannot, as a matter of law, allege sufficient facts to state a claim under Labor Code section 3602, subdivision (b)(2).

3rd cause of action for UCL violation – SUSTAINED WITH LEAVE TO AMEND.

At bottom, Defendants demur to this cause of action on two basic grounds: (1) Plaintiff has failed to allege any viable claim for relief under the UCL, and (2) Plaintiff’s claim implicates the presumption against extraterritorial application of the UCL (Mot. P&A at pp. 8-11.)

a. Failure to Allege Viable Claim for Restitution or Injunctive Relief

As an initial matter, Defendants generally contend that a UCL claim cannot be predicated on negligence-based claims or tortious acts. (Mot. P&A at p. 9.) Plaintiff’s opposition does not address this argument.

It is true that “[a]n action under the UCL is not an all-purpose substitute for a tort or contract action.” (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1150, *internal quotes omitted*.) “Instead, the act provides an equitable means through which both public prosecutors and private individuals can bring suit to prevent unfair business practices and

restore money or property to victims of these practices. . . . Because of this objective, the remedies provided are limited. While any member of the public can bring suit under the act to enjoin a business from engaging in unfair competition [or to seek restitution], it is well established that individuals may not recover damages.” (*Id.*)

Therefore, the relevant issue is whether Plaintiff alleges a viable claim for restitution or injunctive relief. Defendants contend Plaintiff does not. (Mot. P&A at pp. 9-11.)

Where a plaintiff “fail[s] to present a viable claim for restitution or injunctive relief (the only remedies available), . . . the complaint fails to state a viable UCL claim,” and a demurrer to the complaint may be sustained. (*Madrid v. Perot Systems Corp.* (2005) 130 Cal.App.4th 440, 467.)

i. Restitution

Defendants also contend that Plaintiff is “not entitled to receive/recover any ‘restitution’ because he has not provided any money or property to the Defendants, hence there is nothing for Defendants to refund or restore.” (Mot. P&A at p. 11.)

In opposition, Plaintiff merely contends that “[a] demurrer tests whether the complaint states a cause of action. It does not test whether every remedy requested within that cause of action will ultimately be awarded. A demurrer does not lie to a defect in the prayer for relief where the complaint otherwise states a claim entitling the plaintiff to some form of relief.” (Opp. at p. 11.) Accordingly, “[w]hether restitution is available, and in what form, is a question for a later stage of this case. It is not a basis to sustain this Demurrer.” (*Id.*)

The only authority Plaintiff cites is *Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 167. However, *Grieves* merely held that the plaintiff there had failed to adequately allege facts to establish the requirements for punitive damages under Civil Code section 3294, subdivision (b). (*Id.*) Therefore, *Grieves* is inapposite.

In any case, the California Supreme Court has held that “disgorgement of profits allegedly obtained by means of an unfair business practice is [not] an authorized remedy under the UCL where these profits are neither money taken from a plaintiff nor funds in which the plaintiff has an ownership interest.” (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1140.) To constitute a claim for restitution, the plaintiff must have “an ownership interest in the money it seeks to recover from defendants” or a “vested interest in the money it seeks to recover.” (*Id.* at p. 1149.) Where a plaintiff is “not seeking the return of money or property that was once in its possession. . . , [a]ny award that plaintiff would recover from defendants would not be restitutionary as it would not replace any money or property that defendants took directly from plaintiff.” (*Id.*) Examples of money or property in which plaintiff has a “vested interest” include “earned wages that are due and payable.” (*Id.*, citing *Cortez v. Purolator Air Filtration Products Co.* (2000) 23 Cal.4th 163, 178.)

Indeed, “nonrestitutionary disgorgement is not available in a UCL individual action or in a UCL representative action.” (*Madrid, supra*, 130 Cal.App.4th at p. 460, emphases omitted.) Also, “nonrestitutionary disgorgement is not an available remedy in a UCL class action.” (*Id.* at pp. 460-461.)

Here, Plaintiff’s theory of restitution, as pleaded in the complaint—“in the form of the economic value of the safety protections, wellness structures, clinical safeguards, and trauma-mitigation Protocols that Defendants unlawfully failed to provide and the resulting cost savings that Defendants wrongfully retained by shifting the burden of those protections to the workers” (Compl., ¶ 62)—seeks nonrestitutionary disgorgement of Defendants’ profits rather than restitution of money or property in which Plaintiff had an ownership interest or that was once in Plaintiff’s possession. Even if Defendants unlawfully failed to implement safety measures to protect Plaintiff, Plaintiff had no “vested interest” in the money or property that Defendants failed to use to implement such protocols.

Therefore, the Court concludes that the complaint, as pleaded, fails to adequately alleged a viable claim for restitution. However, since this is Plaintiff’s original complaint, Plaintiff is granted leave to amend.

ii. Injunctive Relief

Defendants also contend that “Plaintiff lacks the requisite standing to seek any injunctive relief under the UCL statute” because Plaintiff is currently on voluntary medical leave, has not alleged any concrete intent to return to work for Defendants, and is therefore a former employee—“[y]et, he seeks *prospective* injunctive relief to require the Defendants to revise or adopt new policies or practices and reform the allegedly unsafe workplace in which he no longer works.” (Mot. P&A at p. 9, emphasis original.) Defendants contend that “[f]ormer employees lack constitutional standing to seek and obtain prospective injunctive relief.” (*Id.*) And “[i]n the context of a class action, ‘[u]nless the named plaintiffs are themselves entitled to seek injunctive relief, they may not represent a class seeking that relief.’” (*Id.* at p. 10, fn. 7.)

Indeed, “in order to grant injunctive relief under the UCL, there must be a threat that the wrongful conduct will continue,” and a former employee cannot seek injunctive relief relating to the employer’s employment practices where “[t]he injuries [the employee] suffered at the hands of [the defendant-employer] are all in the past” and “there is no reasonable likelihood he will be [employed by the defendant employer] any time in the future or will otherwise be in a position to be harmed by [the employer’s] actions.” (*Davis v. Farmers Insurance Exchange* (2016) 245 Cal.App.4th 1302, 1326-1327, internal quotes omitted.)

In opposition, Plaintiff concedes that “[i]n a UCL class action, the named plaintiff must satisfy the statutory standing requirements of section 17204.” (Opp. at p. 10.) But Plaintiff contends that “[t]he complaint defines the class to include current employees who continue to perform content moderation work,” and “[t]hose class members have a direct, ongoing, and concrete stake in injunctive relief requiring implementation of the safeguards described in the complaint. The alleged harm to them is present and

continuing. It is not historical.” (*Id.* at pp. 10-11.) Plaintiff further contends that “[w]here a named plaintiff’s individual circumstances raise a question as to a particular form of relief, the appropriate remedy is amendment. The remedy is to substitute or add a plaintiff who can pursue that relief. It is not dismissal of the class claim outright.” (*Id.* at p. 11, citing *Branick v. Downey Savings & Loan Assn.* (2006) 39 Cal.4th 235, 242.)

Indeed, “[a]lthough a complaint filed by a party who lacks standing is subject to demurrer, the rationale for the demurrer would be that there is a defect in the parties, since the party named as plaintiff is not the real party in interest. Amendments to complaints under Code of Civil Procedure section 473, subdivision (a), are liberally allowed to substitute in plaintiffs with standing for original plaintiffs without standing.” (*CashCall, Inc. v. Super. Ct.* (2008) 159 Cal.App.4th 273, 287, internal quotes omitted, citing *Cloud v. Northrop Grumman Corp.* (1998) 67 Cal.App.4th 995, 1004-1011.) This “general rule allowing substitution of new plaintiffs with standing in place of original plaintiffs without standing applies to class actions” and equally to “a plaintiff who initially had standing when the class action complaint was filed, but subsequently lost his or her standing” and to “a plaintiff who never had standing when the complaint was filed.” (*Id.* at pp. 288-289.)

In reply, Defendants point out that Plaintiff does not dispute he lacks individual standing to seek UCL injunctive relief because he is currently on medical leave. (Reply at p. 6.) As to Plaintiff’s argument about leave to amend, Defendants simply contend that because Plaintiff’s “class allegations are not salvageable, amendment to substitute a new plaintiff (who Barber has not identified and likely does not exist) would be futile.” (*Id.*, citing, inter alia, *Newell v. State Farm General Insurance Co.* (2004) 118 Cal.App.4th 1094, 1106 [holding, in a case involving insurance coverage for damages caused by the Northridge earthquake, that “no basis exists for granting plaintiffs leave to amend” when they “suggest no additional facts they could allege to satisfy . . . requirements for class action certification or otherwise to change the legal effect of their pleading”].)

However, “all that is normally required for a complaint to survive demurrers to the propriety of class litigation is that the complaint allege facts that tend to show: (1) an ascertainable class of plaintiffs, and (2) questions of law and fact which are common to the class.” (*Beckstead v. Superior Court* (1971) 21 Cal.App.3d 780, 784.)

Here, the complaint adequately alleges an ascertainable class of plaintiffs and questions of law and fact which are common to the class. (Compl., ¶¶ 39-45.) Indeed, Defendants’ demurrer does not contend that the class is not ascertainable or that there are no questions of law and fact which are common to the class.

Instead, Defendants contend that the complaint fails to satisfy the requirements of adequacy, typicality, numerosity, predominance, and superiority for class certification. (See Mot. P&A at pp. 11-15.)

As an initial matter, Plaintiff Barber's personal **adequacy** and **typicality** is irrelevant given that this preliminary class certification analysis is being conducted only to determine whether the naming of a new plaintiff would salvage the class claims in this case. In other words, even if Plaintiff Barber personally fails to satisfy the adequacy and typicality requirements, that does not mean a new plaintiff could not satisfy those requirements.

On **numerosity**, Defendants' opening brief contended that numerosity cannot be satisfied because "throughout the history of Chaturbate, there have only been approximately 25 or less employees that have been, or who are, Customer Service Risk Managers who performed the same compliance and complaint escalation review functions as Barber. *None* of which are, or were, located in California. . . . There are *no* other former or current employees of Defendants who have filed a workers' compensation claim or lawsuit claiming they are suffering from severe emotional distress or have been diagnosed with PTSD resulting from conditions in the workplace. Let alone any employee claiming post-brain surgery PTSD. Accordingly, Barber is a class of *one* and numerosity cannot be demonstrated." (Mot. P&A at p. 12.)

Then, in reply, Defendants further contend that "[s]ince the time of the filing of Barber's Complaint and this Demurrer, virtually all of the Defendants' employees who could arguably be included in Barber's class definition (Compl. ¶ 39) have executed binding mandatory arbitration written agreements, which include a class action waiver provision. Consequently, Barber cannot satisfy the numerosity requirement for class certification purposes because he is the only one that can assert a claim before this Court." (Reply at p. 8.)

But all of these arguments rely on facts extrinsic to the complaint, and on a demurrer, a court must accept as true the allegations of the complaint and may not consider facts not alleged in the complaint unless they may be reasonably inferred from the matters alleged in the complaint or are proper subjects of judicial notice. Therefore, Defendants' arguments on numerosity fail on a demurrer. Defendants are also **ADMONISHED** to refrain from relying on extrinsic facts in any future demurrer.

On **predominance** and **superiority**, Defendants generally contend that the claims in this case are riddled with "diverse factual issues to be resolved, even though there may be many common questions of law." (Mot. P&A at p. 13.) Defendants contend that "claims for negligence and intentional infliction of emotional distress are *not* amenable to class treatment because the requisite elements of these common law claims require highly individualized proof which defeat the community of interest requirement and individual issues predominate over common issues for both types of claims." (*Id.*) Indeed, "Plaintiff readily *admits* that 'the degree of emotional harm may vary among class members.'" (*Id.* at p. 14, quoting Compl. ¶ 37.) Defendants contend that "individualized issues as to job description, liability, causation and damages cannot be established with class-wide proof." (*Id.* at p. 15.) Accordingly, "a class action is not the superior means of resolving this litigation." (*Id.*)

However, the relevant inquiry here is not just whether the complaint's negligence and IIED claims are amenable to class treatment. The Court has already sustained the demurrer as to Plaintiff's IIED claim without leave to amend. That leaves one potential "negligence" claim subject to amendment to allege sufficient facts to state a claim under Labor Code section 970, as well as a UCL claim. The UCL claim, by definition, cannot seek damages, so there are no individualized issues to try as to damages. At a minimum, the key issue of Defendants' liability for both the Labor Code section 970 claim and the UCL claim (especially to the extent it seeks only injunctive relief) appears to involve common questions of law and fact relating to Defendants' alleged uniform policy of failing to provide safety precautions. As Plaintiff contends, "[t]he complaint alleges that common questions predominate because the conduct at issue, Defendants' failure to adopt the Protocols, failure to provide informed consent and warnings, use of misleading job titles, and operation of a uniform content moderation system without rotation, screening, or support, applied identically across every class member regardless of title or location." (Opp. at p. 13.)

Whether these common questions predominate or whether individual issues relating to damages predominate, and whether any individual issues can be properly managed at trial, cannot and should not be decided at this early stage of litigation:

It is a tenet of California civil procedure that the sustaining of demurrers without leave to amend is an extraordinary judicial procedure. . . . Such a drastic step is unwarranted, and ordinarily constitutes an abuse of discretion if there is a reasonable possibility that the defect can be cured by amendment. In particular, the California Supreme Court has expressed its disfavor with this practice as applied to class action suits. In Vasquez, the court said: 'For the purpose of determining if the demurrers should have been overruled, it is sufficient that there is a reasonable possibility plaintiffs can establish a prima facie community of interest among the class members. Plaintiffs' inability to do so, if that be the ultimate result, can be determined at a later stage of the proceeding.' . . .

California[has adopted a] judicial policy of allowing potential class action plaintiffs to have their action measured on its merits to determine whether trying their suits as a class action would bestow the requisite benefits upon the litigants and the judicial process to justify class action litigation. In order to effect this judicial policy, the California Supreme Court has mandated that a candidate complaint for class action consideration, if at all possible, be allowed to survive the pleading stages of litigation. The wisdom of allowing survival is elementary. Class action litigation is proper whenever it may be determined that it is more beneficial to the litigants and to the judicial process to try a suit in one action rather than in several actions. To make this determination, it is necessary to balance the benefits of trying a particular suit as a class action, against the concomitant burdens. It is clear that the more intimate the judge becomes with the character of the action, the more intelligently he

may make the determination. If the judicial machinery encourages the decision to be made at the pleading stages and the judge decides against class litigation, he divests the court of the power to later alter that decision. However, if the decision is allowed to be deferred past the pleading stage, and even well into the trial on the merits, the balancing will be more precise. Since it is both the litigants and the judicial process who are the beneficiaries of a wise decision, the overriding interest of all affected is to allow the judge as much insight into the case as possible in making his determination. Therefore, because the sustaining of demurrers without leave to amend represents the earliest possible determination of the propriety of class action litigation, it should be looked upon with disfavor. . . . If the complaint is allowed to survive the demurrer, then the judge may proceed with the suit, deferring his determination of the propriety of class action until a time when he may better make the decision.

In the case before us, plaintiffs have pleaded facts which tend to show both an ascertainable class and questions of law and fact common to the class. We do not hold that the arguments of real parties in interest are without merit; we hold only that no argument has been made which would allow the judge to rule at the pleading stage that the suit was without the realm of probability of being properly tried as class litigation. The proper time for real parties in interest to raise their arguments is at ‘a later stage in the proceeding’ ‘after notice and hearing’.

(*Beckstead, supra*, 21 Cal.App.3d at pp. 782-784; see also *Tucker v. Pacific Bell Mobile Services* (2012) 208 Cal.App.4th 201, 214, 225, 230 [criticizing *Beckstead*’s “questionable conclusion that consideration of the sufficiency of class action allegations by demurrer is disfavored,” but also acknowledging trial court may sustain “demurrer to class action allegations of a complaint only if it concludes as a matter of law that, assuming the truth of the factual allegations in the complaint, there is no reasonable possibility that the requirements for class certification will be satisfied,” and holding that trial court erred in sustaining demurrer as to UCL claims seeking injunctive relief because “[s]omewhat different considerations apply in evaluating the sufficiency of the UCL causes of action at the pleading stage,” and “on demurrer, a UCL claim for injunctive relief could be maintained on allegations of [unfair business practices]” alone without consideration of other individualized questions pertaining to each plaintiff.)

In short, Defendants have not sufficiently demonstrated—especially on the current record and at this early stage of litigation—that class certification is not within the realm of probability, so amendment to name a new plaintiff is not, as a matter of law, futile.

Therefore, the Court concludes that Plaintiff Barber has not adequately alleged a viable claim for injunctive relief, but should be granted leave to amend, including to name a new plaintiff who has standing to pursue injunctive relief.

b. Presumption Against Extraterritorial Application of UCL

Defendants also contend that “[a]nother bar to Plaintiff’s UCL claim is that California courts have acknowledged a general presumption against the extraterritorial application of state laws,” which is “in full force with respect to the UCL.” (Mot. P&A at p. 10, citing *Sullivan v. Oracle* (2011) 51 Cal.4th 1191, 1207.) Defendants contend that because “Plaintiff is a resident of Las Vegas, worked in Chaturbate’s facility in Nevada, and as part of his job reviewed content in the workplace provided by Chaturbate in Nevada. A reasonable interpretation of Barber’s allegations is that he also suffered his alleged work-related personal injuries in Nevada. Plaintiff alleges no contacts with California, nor could he truthfully or plausibly allege that any Chaturbate Customer Service Risk Supervisors are employed and work in California (because there are none).” (*Id.* at p. 11.) Accordingly, Defendants contend that Barber cannot avail himself of the protections afforded by California’s UCL statute (and neither can any of the non-California putative class members).” (*Id.*)

In opposition, Plaintiff contends that “California’s UCL reaches unlawful conduct that occurs in California, even where the plaintiff resides elsewhere.” (Opp. at p. 11, also citing *Sullivan, supra*, 51 Cal.4th at p. 1207.) Plaintiff contends that because the complaint alleges both that “Defendant Multi Media is located in California and committed the acts and omissions at issue in this state” and that “at least 81 people performed this content moderation work during the class period in Nevada, Florida, and California, working both remotely and from Defendants’ offices,” the allegations of the complaint place the unlawful conduct itself inside California. (*Id.* at pp. 11-12, citing Compl., ¶¶ 12, 23.)

In *Sullivan*, cited by both parties, the court held that the UCL did not apply where a plaintiff’s UCL claim was based on an employer’s violation of labor laws where the unlawful business act or practice (adoption of an illegal policy), which allegedly occurred in California, but the only work performed by employees occurred “outside California . . . by out-of-state plaintiffs.” (*Sullivan, supra*, 51 Cal.4th at pp. 1207-1209.)

Here, once again, Defendants’ arguments rely on facts extrinsic to the complaint, as the complaint does not allege where Plaintiff resided or worked, and judicial notice cannot be taken of Plaintiff’s residence based on the allegations of his previous federal complaint. Moreover, on a demurrer, the Court must accept as true the complaint’s allegations at least some number of putative class members worked in California and therefore, presumably suffered injuries in California.

Therefore, Defendants have failed to demonstrate that the allegations of the complaint necessarily implicate the presumption against extraterritorial application.

However, as noted above, the Court nevertheless **SUSTAINS WITH LEAVE TO AMEND** the demurrer to the UCL cause of action on the grounds that Plaintiff has failed to allege sufficient facts to state a viable claim for restitution or injunctive relief.

Defendants' request for judicial notice is **DENIED** as irrelevant. (*Soukup v. Law Offices of Herbert Hafif* (2006) 39 Cal.4th 260, 289, fn. 9 ["These materials are not relevant to any issue in this case and the request is denied"]; *Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison* (1998) 18 Cal.4th 739, 748, fn. 6 [declining to take judicial notice of materials not "necessary, helpful, or relevant" or when court does "not require that information to decide this case"].)

2. Plaintiff's Motion to Strike Portions of Demurrer

Plaintiff Neal Barber's motion to strike portions of Defendants Bayside Support Services LLC and Multi Media LLC's demurrer is **DENIED**. (Code Civ. Proc. [CCP], § 436.)

As an initial matter, the Court finds that the motion was timely filed. CCP section 435, subdivision (b)(1) explicitly permits motions to strike a pleading "within the time allowed to respond to [the] pleading," and subdivision (b)(3) also provides that "[a] notice of motion to strike a demurrer, or a portion thereof, shall set the hearing thereon concurrently with the hearing on the demurrer." Here, Plaintiff's motion was filed 9 court days before the hearing on the demurrer, which is "within the time allowed to respond to" the demurrer, and the motion was noticed for hearing concurrently with the demurrer.

The Court also finds that Plaintiff substantially satisfied CCP section 435.5's meet-and-confer requirement before filing this motion. Although Plaintiff's 2/25/2026 letter purports to be a "Safe-Harbor Notice Pursuant to Code of Civil Procedure § 128.7" and did not reference Plaintiff's intention to file a motion to strike, the letter and the ensuing communications between the parties nevertheless substantially satisfy the spirit of section 435.5's meet-and-confer requirements, as Plaintiff's letter identified 11 of the 12 statements at issue in this motion, explained why Plaintiff believed they are improper, and prompted further communications between the parties in an informal attempt to resolve their dispute before resorting to the courts. (ROA #65, Exh. A.)

In any case, even if Plaintiff failed to satisfy the meet-and-confer requirement for a motion to strike, CCP section 435.5, subdivision (a)(4) explicitly states that "[a] determination by the court that the meet and confer process was insufficient shall not be grounds to grant or deny the motion to strike."

Although the motion is procedurally sound, the Court exercises its discretion under CCP section 436 to deny the motion.

CCP section 436 vests courts with discretion to grant or deny a motion to strike made pursuant to CCP section 435. (CCP, § 436, emphases added [title of section is "*Discretion* of court to strike pleadings or portions of pleadings," and text of provision states "[t]he court *may*, upon a motion made pursuant to Section 435, or at any time in its *discretion*, and *upon terms it deems proper*" strike all or part of a pleading].)

Plaintiff contends that the 12 statements at issue in the motion are irrelevant or improper because they either (1) assert facts that are neither alleged in the complaint nor subject to judicial notice or (2) disparage Plaintiff and his counsel.

However, defendants routinely file demurrers that contain arguments that rely on facts not alleged in the complaint, and courts routinely disregard those facts without formally striking them from the demurrer. (See, e.g., *Hall, supra*, 231 Cal.App.3d at p. 718, fn. 7 [simply noting demurrer relied on facts extrinsic to complaint and stating “court will not consider facts which have not been alleged in the complaint unless they may be reasonably inferred from the matters which have been pled or are subjects of judicial notice”]; *Ion Equipment Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881 [simply noting that since complaint “did not allege or refer to” a factual issue, defendants “cannot raise this issue by demurrer”].)

Moreover, the allegedly disparaging statements that Plaintiff seeks to strike here reflect mere rhetoric or hyperbole that courts frequently see and ignore if not supported. In fact, as Defendants point out, California courts have even used similar language in their opinions. (See, e.g., *People ex rel. Lockyer v. Brar* (2004) 115 Cal.App.4th 1315, 1317 [describing filing of abusive lawsuits as “a kind of legal shakedown” based on “ridiculously minor violations of some regulation or law by a small business”].) In short, the statements at issue here do not rise to the level of being so “abusive, rude, hostile, and/or disrespectful” that they must be stricken. (*In re Marriage of Davenport* (2011) 194 Cal.App.4th 1507, 1534-1535 [describing pervasive pattern of abusive conduct and language warranting imposition of sanctions].)

Even with motions to strike complaints, California courts have “emphasize[d] that . . . use of the motion to strike should be cautious and sparing,” and courts “have no intention of creating a procedural ‘line item veto’” for litigants. (*PH II, Inc. v. Super. Ct.* (1995) 33 Cal.App.4th 1680, 1683.) Preserving the court’s resources is also a legitimate policy goal. (See, e.g., *Reid v. Google, Inc.* (2010) 50 Cal.4th 512, 532 [“recogniz[ing] that it has become common practice for litigants to flood the trial courts with inconsequential written evidentiary objections, without focusing on those that are critical,” and “encourag[ing] parties to raise only meritorious objections to items of evidence that are legitimately in dispute and pertinent to the disposition of the summary judgment motion”]; *Le Francois v. Goel* (2005) 35 Cal.4th 1094, 1104 [recognizing “conserv[ation of] the court’s resources by constraining litigants [from] bring[ing] the same motion over and over” as a legitimate purpose for the adoption of CCP section 1008].)

Ultimately, in ruling on Defendant’s demurrer, the Court did not consider any of the 12 statements at issue in the instant motion. Therefore, the Court **DENIES** the motion as unnecessary and/or moot.

3. Defendants’ Motion for Protective Order

Defendants Bayside Support Services LLC and Multi Media LLC's motion for protective order is **DENIED**.

As an initial matter, CCP section 1010 requires that the notice of motion state "the grounds upon which it will be made." Similarly, CRC 3.1110(a) requires a notice of motion to "state in the opening paragraph the nature of the order being sought and the grounds for issuance of the order." Thus, "[a]s a general rule, the trial court may consider only the grounds [and relief sought] stated in the notice of motion," as "[t]he purpose of these requirements is to cause the moving party to sufficiently define the issues for the information and attention of the adverse party and the court." (*Luri v. Greenwald* (2003) 107 Cal.App.4th 1119, 1125, internal quotes omitted.)

Here, in their moving papers, Defendants initially sought only a "limited protective order staying all discovery, including depositions, until the resolution of Defendants' pending potentially dispositive demurrer." (ROA #23, Not. of Mot. & Mot., p. 1; see also *id.*, Mot. P&A, at p. 5.) Plaintiff is correct that this relief sought by the instant motion is moot insofar as the Court is hearing the demurrer concurrently with this motion for protective order. Therefore, the Court **DENIES as moot** the relief sought in the notice of motion and motion.

But in Defendants' reply, Defendants broadened the relief sought by further requesting that "[s]hould the Court instead allow Plaintiff to amend his Complaint in some fashion, Defendants request that all discovery be stayed until at least after the pleadings are settled either through another demurrer or an answer." (ROA #67, Reply, p. 1; see also *id.* at p. 5 ["Further, if any of Plaintiff's claims survive the Demurrer, or if leave to amend is granted as to any of his claims, no discovery should be permitted until after the pleadings are settled either through a subsequent Demurrer/motion to strike or the filing of an answer"].) Then, in the final paragraph of their reply, Defendants additionally requested that "any 'class'-related discovery should be barred altogether because by reason of binding mandatory arbitration and class action waiver agreements, no class can be certified in this case. Accordingly, any class discovery would be completely irrelevant and violate the privacy rights of Defendants' employees." (*Id.* at p. 5.)

"Points raised for the first time in a reply brief will ordinarily not be considered, because such consideration would deprive the respondent of an opportunity to counter the argument. Obvious reasons of fairness militate against consideration of an issue raised initially in the reply brief of an appellant. Obvious considerations of fairness in argument demand that the [moving party] present all of his points in the opening brief. To withhold a point until the closing brief would deprive the respondent of his opportunity to answer it or require the effort and delay of an additional brief by permission. Hence the rule is that points raised in the reply brief for the first time will not be considered, unless good reason is shown for failure to present them before." (*Reichardt v. Hoffman* (1997) 52 Cal.App.4th 754, 764, internal quotes & citations omitted.)

Thus, the Court also **DENIES** the additional relief requested by Defendants only in their reply brief out of basic fairness in motion practice.

But even if the Court were to consider the merits of the additional relief requested by Defendants, the Court also **DENIES** the motion because Defendants have failed to satisfy their burden of proving that they are entitled to a stay of all discovery, including, in particular, class discovery.

A “party objecting to particular discovery requests, e.g., as unduly burdensome or oppressive, may seek a protective order,” and “the burden is on the party seeking the protective order to show good cause for whatever order is sought.” (*Fairmont Insurance Co. v. Super. Ct.* (2000) 22 Cal.4th 245, 255.)

A basic tenet of discovery is that “a civil litigant’s right to discovery is broad. Any party may obtain discovery regarding any matter, not privileged, that is relevant to the subject matter involved in the pending action if the matter either is itself admissible in evidence or appears reasonably calculated to lead to the discovery of admissible evidence. This right includes an entitlement to learn the identity and location of persons having knowledge of any discoverable matter. [A]nd . . . statutes governing discovery must be construed liberally in favor of disclosure unless the request is clearly improper by virtue of well-established causes for denial. This means that disclosure is a matter of right unless statutory or public policy considerations clearly prohibit it.” (*Williams v. Super. Ct.* (2017) 3 Cal.5th 531, 541, internal quotes, ellipses, & citations omitted.)

Moreover, plaintiffs are entitled to pre-certification discovery to identify class members and to determine whether class allegations are appropriate. (*Union Mutual Life Insurance Co. v. Super. Ct.* (1978) 80 Cal.App.3d 1, 10-11.) At a minimum, “[c]ontact information regarding the identity of potential class members is generally discoverable, so that the lead plaintiff may learn the names of other persons who might assist in prosecuting the case.” (*Pioneer Electronics (USA), Inc. v. Super. Ct.* (2007) 40 Cal.4th 360, 373.)

Here, at bottom, Defendants’ reply seeks a *wholesale* order barring *all* discovery, including discovery aimed at facts relating to class certification. Defendants contend that this discovery should be denied because Defendants *believe* that certification will not be granted in this case. But that’s not how civil litigation works. Plaintiffs are entitled to obtain through discovery the actual facts Defendants are relying upon to *contend* that the class cannot be certified, including for lack of numerosity. Defendants cannot refuse to produce relevant evidence and simply ask that Plaintiff and the Court trust Defendants’ representation of the facts and application of the law.

Moreover, as explained in the above order ruling on Defendants’ demurrer, the Court has sustained Defendants’ demurrer as to the 3rd causes of action for violation of the UCL *with leave to amend, including to identify a new plaintiff who has standing to seek injunctive relief*. Defendants have presented no argument as to why Plaintiff should not be permitted to amend to name a new plaintiff other than by simply insisting that class certification requirements cannot be met. (See ROA #69, Reply ISO Dem., p. 6 [as to Plaintiff’s argument about leave to amend, Defendants simply contend that

		because Plaintiff’s “class allegations are not salvageable, amendment to substitute a new plaintiff (who Barber has not identified and likely does not exist) would be futile”].) The instant motion papers also do not address this issue. Defendants shall give notice of all of the above.
106	MD Hydration Inc. vs. Fusion Hydration, LLC 2022-01246305	1. Motion for Leave to File Amended Complaint 2. Motion to Seal (1) Motion for Leave to Amend Plaintiffs (1) MD Hydration Inc. dba The Hydration Room and (2) Hydration Holding Company’s motion for leave to file the Third Amended and Supplemental Complaint (TAC) is GRANTED. Procedural Requirements Plaintiffs have complied with the procedural requirements for the instant motion under California Rules of Court (CRC), rule 3.1324. (See ROA #262, Poorman Decl., passim.) Defendants do not contend the motion is procedurally defective. Rather, Defendants disagrees with whether the substance of Plaintiffs’ motion is sufficient to warrant relief. Merits Applicable Legal Standard “The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading . . .” (Code Civ. Proc. [CCP], § 473, subd. (a)(1).) Further, “[a]ny judge, at any time before or after commencement of trial, in the furtherance of justice, . . . may allow the amendment of any pleading . . .” (CCP § 576.) “[C]ourts are bound to apply a policy of great liberality in permitting amendments to the complaint at any stage of the proceedings, up to and including trial,” so long as “no prejudice is shown to the adverse party.” (<i>Atkinson v. Elk Corp.</i> (2003) 109 Cal.App.4th 739, 761 [internal quotes and citations omitted].) “The policy favoring amendment is so strong that it is a rare case in which denial of leave to amend can be justified.” (<i>Howard v. County of San Diego</i> (2010) 184 Cal.App.4th 1422, 1428.)

“If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend; and, where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion.” (*Morgan v. Super. Ct.* (1959) 172 Cal.App.2d 527, 530.) Indeed, “judicial policy favors resolution of all disputed matters in the same lawsuit,” and “it is irrelevant that new legal theories are introduced as long as the proposed amendments ‘relate to the same general set of facts.’” (*Kittredge Sports Co. v. Super. Ct.* (1989) 213 Cal.App.3d 1045, 1047-1048, quoting *Hirsa v. Super. Ct.* (1981) 118 Cal.App.3d 486, 489.)

Leave to amend may be denied if the party seeking the amendment has been dilatory *and* the delay has prejudiced the opposing party. (*See Hirsa, supra*, 118 Cal.App.3d at p. 490.) Delay is most likely to result in prejudice warranting a denial of leave to amend “[w]here the trial date is set, the jury is about to be impaneled, counsel, the parties, the trial court, and the witnesses have blocked the time, and the only way to avoid prejudice to the opposing party is to continue the trial date to allow further discovery.” (*Magpali v. Farmers Group, Inc.* (1996) 48 Cal.App.4th 471, 488.)

But “it is an abuse of discretion to deny leave to amend where the opposing party was not misled or prejudiced by the amendment.” (*Kittredge, supra*, 213 Cal.App.3d at p. 1048.) “[W]here no prejudice is shown to the adverse party, the liberal rule of allowance prevails.” (*Atkinson, supra*, 109 Cal.App.4th at p. 761.)

Finally, although “the failure of a proposed amendment to state facts sufficient to constitute a cause or defense may support an order denying a motion to amend,” this rule is most appropriately applied “where the insufficiency could not be cured by further appropriate amendment.” (*Cal. Casualty Gen. Insurance Co. v. Super. Ct.* (1985) 173 Cal.App.3d 274, 280-281, disapproved of on other grounds by *Kransco v. Am. Empire Surplus Lines Ins. Co.* (2000) 23 Cal.4th 390.) Thus, “the better course of action” is to grant leave to amend the complaint “and then let the parties test its legal sufficiency in other appropriate proceedings” like a demurrer. (*Atkinson*, 109 Cal.App.4th at p. 760, citing *Kittredge*, 123 Cal.App.3d at p. 1048[.])

Application

Here, Plaintiffs seek to add Brad Hunt and Sean Lucero as individual defendants; add a cause of action for aiding and abetting breach of duty of loyalty against Hunt; and add allegations that the entity Defendants Fusion Hydration, LLC and Fusion Management Group, LLC are the alter egos, agents, and/or mere instrumentalities of Messrs. Noggle, Hunt, and Lucero. (ROA #256, Mot., p. 2; see also Poorman Decl., ¶ 3.)

Plaintiffs contend that amendment is necessary and proper because “discovery produced new, material evidence establishing Mr. Hunt’s direct participation in the early formation and launch of Fusion Hydration.” (Poorman Decl., ¶ 5.) Plaintiffs contend that they “first discovered the[se] facts giving rise to the proposed amended allegations at Mr. Hunt’s

deposition on February 28, 2023.” (*Id.* at ¶¶ 6, 9.) Plaintiffs contend that “[t]he deposition transcript and related documents were reviewed as soon as they became available,” but “[s]ubsequent to Mr. Hunt’s deposition, MD Hydration changed counsel, which caused some delay in the analysis of his deposition testimony.” (*Id.* at ¶ 11.) (The Court notes that Plaintiffs filed a substitution of counsel on 10/10/2024 at ROA #156.)

Plaintiffs further contend that “on or about December 12, 2025, Defendants supplemented financial information for 2023-2025 related to their operations, which Plaintiffs had been requesting for months.” (Poorman Decl., ¶ 12.) Plaintiffs contend that Defendants’ 2023 and 2025 financial statements “reflect that Defendants made substantial distributions to individual members during 2025 relative to Defendants’ reported revenues and the size of their business” and “reflect notable increase in salary related expenses in December 2023 compared to prior months.” (*Id.* at ¶ 13.) Plaintiffs contend that this evidence suggests “Noggle, Hunt and Lucero have intermingled the entity Defendants’ assets with their own, and have used the entity Defendants’ assets for other than a legitimate corporate purpose (namely to enrich themselves,” and that this evidence provides the factual basis for Plaintiffs’ alter ego allegations. (ROA #260, Mot. P&A, at pp. 6-8.)

In opposition, Defendants raise the following three types of arguments. None is meritorious.

First, Defendants essentially contend that the motion should be denied because Plaintiffs admit to first learning the relevant facts in discovery through Hunt’s February 2023 deposition, yet did not file the instant motion until March 2026, which shows undue delay. (ROA #286, Opp., pp. 3-4, 7-8.) However, as explained above, leave to amend may be denied only if the party seeking the amendment has been dilatory *and* the delay has prejudiced the opposing party. Therefore, the burden is on Defendants to demonstrate prejudice.

Defendants did not file any declarations in support of their opposition. And their opposition brief addresses prejudice in just 9 short lines. (Opp. at p. 7.) Defendants contend that the prejudice would be “severe” because neither Hunt nor Lucero “has been a party to this litigation, and given the court’s present backlog there likely is sufficient time to have necessary demurrers and motions for summary judgment/adjudication heard before the January 2027 trial date. The Court would almost certainly need to continue the trial—itsself a form of prejudice to defendants who have been litigating for over four years and are entitled to a timely resolution.” (*Id.*)

In reply, Plaintiffs point out that “[t]he proposed pleading arises from the same Fusion-related facts that have been at issue since the beginning of this case. It adds individuals whose conduct and financial relationship to the Fusion entities have been explored in discovery.” (ROA #292, Reply, p. 7.) Indeed, “Hunt and Lucero have already been deposed. The financial allegations are based on Defendants’ own records.” (*Id.* at p. 12.) Moreover, Plaintiffs contend that “Defendants’ claimed prejudice is that Hunt and Lucero would need to defend themselves, respond to the amended

pleading, and potentially participate in additional motion practice or discovery. That is ordinary litigation burden, not legal prejudice. Prejudice sufficient to deny leave means unfair prejudice: lost evidence, unavailable witnesses, inability to prepare, unfair surprise, or some comparable impairment.” (*Id.*, citing *Magpali, supra*, 48 Cal.App.4th at p. 487.) Plaintiffs further describe Defendants’ trial-date argument as overstated because “[t]rial is approximately seven months away and there is ample time for targeted discovery or pleading motion practice.” (*Id.*)

Plaintiffs have the better argument here. Particularly given that Hunt and Lucero have already been deposed, Defendants are hard-pressed to argue that they are being misled or prejudiced by Plaintiffs’ proposed amendments. Moreover, Defendants’ complaints about prejudice from further delay of trial also ring hollow in light of the parties’ recent *joint* stipulation, filed on 5/8/2026, in which the parties contended they both intend to take additional discovery and sought a 5-month continuance of trial to January 18, 2027. (ROA #275; see also ROA #283 [signed order granting continuance].)

Defendants’ opposition fails to address the evidence that Defendants did not produce to Plaintiffs until December 2025, which Plaintiffs also rely on to support their good-faith basis for adding alter ego allegations and asserting individual claims of liability against Hunt and Lucero in the proposed TAC. (See Reply, pp. 9-10.) To the extent Plaintiffs’ allegations are based on evidence recently procured, Plaintiffs acted diligently in filing the instant motion in March 2026.

Second, Defendants make various merits-based arguments about the legal sufficiency of the allegations Plaintiffs seek to add by way of the TAC. (Opp. at pp. 4, 8.) However, as noted above, challenges as to the legal sufficiency of a complaint are more appropriately addressed in an appropriate motion or demurrer following the filing of the complaint.

Third, Defendants make a related argument that the instant motion should be denied because the claims against Hunt and Lucero are barred by the applicable statutes of limitations, relying solely on *Foxborough v. Van Atta* (1994) 26 Cal.App.4th 217. (Opp. at pp. 5-7.) However, in *Foxborough*, the appellate court affirmed the trial court’s denial of a motion for leave to amend the complaint on the ground that “the proposed amendment fails to state a cause of action” due to the running of the applicable statute of limitations only because “the proposed amended complaint would not have related back to the filing of the original complaint.” (*Foxborough, supra*, 26 Cal.App.4th at pp. 230-231 [original complaint alleged injury from malpractice occurring in 1981, while proposed new complaint alleged injury from malpractice occurring in 1985, which was a “different[] incident”].)

Here, Defendants have not addressed much less shown why Plaintiff’s proposed TAC would not relate back to Plaintiffs’ proposed complaint. In contrast to the allegations in the proposed new complaint in *Foxborough*, Plaintiffs’ new allegations in the proposed TAC do not clearly demonstrate, on their face, that the applicable statute of limitations have run. Thus, again, any merits-based challenges Defendants may have, including based on

statutes of limitations, are more appropriately addressed in an appropriate motion or demurrer following the filing of the complaint.

Plaintiffs are **ORDERED** to separately file the TAC with the Court within 3 court days and serve all defendants within 30 days. The TAC must be filed as a separate document to ensure it is properly indexed in the record.

(2) Motion to Seal

Plaintiffs (1) MD Hydration Inc. dba The Hydration Room and (2) Hydration Holding Company's motion to seal Exhibits D and E to the Declaration of Jacob K. Poorman, filed in support of Plaintiffs' above-discussed motion for leave to amend, is **GRANTED**.

The Court finds that Plaintiffs have proved facts that establish: (1) there exists an overriding interest that overcomes the right of public access to the record; (2) the overriding interest supports sealing the record; (3) a substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; (4) the proposed sealing is narrowly tailored; and (5) no less restrictive means exist to achieve the overriding interest. (Cal. Rules of Court [CRC], rule 2.550(d).) The Court finds that Exhibit D contains balance sheets and Exhibit E contains a profits and loss chart, which were produced in discovery by Defendants Fusion Management Group, LLC, formerly known as Fusion Hydration, LLC and designated as "Confidential." (ROA #258, *passim*.) Such designation constitutes a representation by Defendant that the documents contain non-public financial information. (*Id.*) Since the information includes Defendants' revenues, assets, liabilities, and internal financial data, it is subject to a right of privacy. (See, e.g., *Overstock.com, Inc. v. Goldman Sachs Group, Inc.* (2014) 231 Cal.App.4th 471, 503, internal quotes & citations omitted [right to privacy "extends to one's confidential financial affairs" and "embraces confidential financial information in whatever form it takes, whether that form be tax returns, checks, statements, or other account information"]; see also *Nixon v. Warner Communications, Inc.* (1978) 435 U.S. 589, 598 [recognizing sealing appropriate for "sources of business information that might harm a litigant's competitive standing"]; *Hecht, Solberg, Robinson, Goldberg & Bagley LLP v. Super. Ct.* (2006) 137 Cal.App.4th 579, 594 ["Although corporations have a lesser right to privacy than human beings and are not entitled to claim a right to privacy in terms of a fundamental right, some right to privacy exists"]; *Universal City Studios, Inc. v. Super. Ct.* (2003) 110 Cal.App.4th 1273, 1286 [denying motion to seal due to public disclosure, but finding that normally, sealing is appropriate where "information involves confidential matters relating to the business operations of defendant" and "public revelation of these matters would interfere with its ability to effectively compete in the marketplace"].)

Accordingly, the Court **ORDERS** that Exhibits D and E of the Declaration of Jacob K. Poorman in Support of Motion for Leave to File Amended and Supplemental Complaint, lodged conditionally under seal at ROA #270, be placed under permanent seal.

		Plaintiffs shall give notice of all of the above.
107	Carrasco vs. Del Taco LLC 2025-01479192	1. Motion to Compel Arbitration 2. Case Management Conference Motion to Compel Arbitration Defendant Del Taco, LLC’s motion to compel plaintiff Kristine L. Carrasco’s individual claims to arbitration is GRANTED. Plaintiff’s individual claims are ordered to arbitration. Plaintiff’s class claims are dismissed without prejudice. The case is stayed pending completion of the arbitration. An ADR Review Hearing is scheduled for May 6, 2027 at 9:30AM in C102. The parties must file a Joint Status Report at least 16 days before the hearing and should request a continuance if arbitration is not yet complete. Existence of Arbitration Agreement The right to arbitration depends upon contract; a petition to compel arbitration is simply a suit in equity seeking specific performance of that contract. Little v. Pullman (2013) 219 Cal.App.4th 558, 565. The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. Id.; Perry v. Thomas (1987) 482 U.S. 483, 492 n.9 (State law applicable to contracts generally governs whether a valid arbitration agreement exists.) While the burden of persuasion is always on the moving party, the burden of production may shift in a three-step process. First, the moving party must present “prima facie evidence of a written agreement to arbitrate the controversy”, which is satisfied by attaching a copy of the arbitration agreement purporting to bear the opposing party's signature. Gamboa v. Ne. Cmty. Clinic (2021) 72 Cal.App.5th 158, 164–67. At this step, a movant need not follow the normal procedures of document authentication. Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 218-219.

If the moving party meets its initial burden, and the opposing party disputes the agreement, then the burden shifts to the opposing party to challenge the authenticity of the agreement.

Finally, if plaintiff presents evidence that no agreement exists, the burden shifts back to the moving party to present admissible evidence of a valid arbitration agreement between the parties by a preponderance of the evidence. Gamboa, supra, 72 Cal.App.5th at 164–67.

Defendant has presented undisputed evidence that on 04-22-2025, plaintiff electronically signed the stand-alone “Dispute Resolution Agreement” (the “DRA”) that was required for her employment. ROA 36 Ex. A; ROA 32 ¶ 4. Accordingly, defendant has met its initial burden of demonstrating the existence of an arbitration agreement between the parties.

While she does not specifically recall doing so, plaintiff does not deny she signed the DRA. ROA 58 ¶¶ 16, 20. Plaintiff’s lack of recollection is immaterial to formation. See, e.g., Randas v. YMCA of Metro. Los Angeles (1993) 17 Cal.App.4th 158, 163 (“one who accepts or signs an instrument, which on its face is a contract, is deemed to assent to all its terms, and cannot escape liability on the ground that he has not read it”). Accordingly, plaintiff has not presented evidence to shift the burden back to defendant and the court thus finds the parties formed an agreement to arbitrate.

Application of Federal Arbitration Act

The DRA is expressly governed by the Federal Arbitration Act (“FAA”). ROA 36 Ex. A at 2. Defendant also provides undisputed evidence it is engaged in interstate commerce. ROA 32 ¶ 2. Plaintiff does not dispute the application of the FAA. The court therefore finds the FAA governs.

Relevant Terms and Whether the Agreement Covers the Dispute

The DRA broadly “applies to disputes and claims for relief Employee or Company may now or in the future have against each other...in any way related to Employee’s employment or termination of employment...” ROA 36 Ex. A at 1. The DRA precludes arbitration on a class class or representative basis “to the full extent permitted under the law.” Id. at 2. If the waiver is “deemed invalid or unenforceable, then that part of the prohibition on class, collective, or non-individual representative arbitration shall be severed from the agreement and the surviving portions of this section will remain in force.” Id. Additionally, in the event a dispute includes arbitrable and non-arbitrable claims, “the parties agree that the arbitrable claims shall be resolved first and the non-arbitrable claims shall be stayed pending completion of the arbitration proceedings.” Id. at 3. Arbitration is the sole and exclusive remedy for covered claims between the parties. Id. at 3. The DRA also contains a severability provision. Id. at 6. The DRA “supersedes any prior or contemporaneous oral or written understanding on the subject.” Id. at 6.

Plaintiff does not dispute her claims are encompassed by the DRA.

Application of California Civil Code Section 1642

Plaintiff argues that Civ. Code § 1642 requires the court to consider the DRA with the “Confidentiality Agreement” (“CA”) (ROA 59 Ex. 2) and “Code of Ethical Standards, Business Practices and Conduct (“COE”) (Id. Ex. 3) because the documents were among plaintiff’s onboarding documents and electronically signed in the span of 34 seconds. See Civ. Code § 1642 (“Several contracts relating to the same matters, between the same parties, and made as parts of substantially one transaction, are to be taken together.”). The court examines the documents separately.

A. Confidentiality Agreement

Plaintiff relies on *Alberto v. Cambrian Homecare* (2023) 91 Cal.App.5th 482. Regarding the relationship of a confidentiality agreement with an arbitration agreement, the Alberto court stated:

“ ‘Under Civil Code section 1642, it is the general rule that several papers relating to the same subject matter and executed as parts of substantially one transaction, are to be construed together as one contract [citation].’ ” (*IMO Development Corp. v. Dow Corning Corp.* (1982) 135 Cal.App.3d 451, 463, 185 Cal.Rptr. 341.) According to that rule, documents executed as part of a single transaction are construed together, even if they do not expressly refer to one another. (*Boyd v. Oscar Fisher Co.* (1989) 210 Cal.App.3d 368, 378, 258 Cal.Rptr. 473; *Cadigan v. American Trust Co.* (1955) 131 Cal.App.2d 780, 786–787, 281 P.2d 332 [“it [is] unnecessary for either instrument to refer to the other”].)

Here, we have no difficulty concluding that the Arbitration Agreement and the Confidentiality Agreement should be read together. They were executed on the same day. They were both separate aspects of a single primary transaction—Alberto’s hiring. They both governed, ultimately, the same issue—how to resolve disputes arising between Alberto and Cambrian arising from Alberto’s employment. Failing to read them together artificially segments the parties’ contractual relationship. Treating them separately fails to account for the overall dispute resolution process the parties agreed upon.

So, unconscionability in the Confidentiality Agreement can, and does, affect whether the Arbitration Agreement is also unconscionable.

Id. at 490–91.

There are factual differences between Alberto and the present case. Specifically, the DRA contains an integration clause. The Alberto court did not discuss the impact of an integration clause, and it is not clear whether

		either or both of the agreements the court examined in that case contained integration clauses. Accordingly, it offers incomplete insight. Whether two agreements constitute a single contract, made as parts of substantially one transaction, so as to be taken together, depends on the circumstances and intent of the parties. See <i>Subaru of America, Inc. v. Putnam Automotive, Inc.</i> (2021) 60 Cal.App.5th 829, 842-43. As stated by other courts, while it does not preclude application of Civ. Code § 1642, “the inclusion of an integration clause weighs against reading contracts together.” <i>Silva v. Cross Country Healthcare, Inc.</i> (2025) 111 Cal. App. 5th 1311, 1326; accord <i>Grey v. Am. Mgmt. Servs.</i> (2012) 204 Cal. App. 4th 803, 807 (“The crucial issue in determining whether there has been an integration is whether the parties intended their writing to serve as the exclusive embodiment of their agreement...The existence of an integration clause is a key factor in divining that intent.”). While the <i>Silva</i> court ultimately read the two agreements together, applying its reasoning does not produce the same result here. The <i>Silva</i> court held “[w]here the contract being construed (here, the Arbitration Agreement) is not the one containing the integration clause and hence not the contract purporting to embody the sum total of the parties’ agreement, substantial evidence supports the trial court’s decision to read the Arbitration Agreement in conjunction with the Employment Agreement.” <i>Silva</i>, supra, 111 Cal. App. 5th at 1326. In other words, the <i>Silva</i> court found the two agreements should not be treated separately “because the Employment Agreement explicitly provides that it ‘supersedes all prior and contemporaneous agreements,’ which logically includes the contemporaneously executed Arbitration Agreement.” <i>Id.</i> Here, unlike in <i>Silva</i>, it is the arbitration agreement that contains the integration clause. ROA 36 Ex. A at 6 (The DRA “constitutes the complete agreement of the parties on the subject of arbitration of employment related disputes...[and] supersedes any prior or contemporaneous oral or written understanding on the subject.”). However, the DRA’s integration clause is narrower than that in <i>Silva</i> and thus the case is of limited value. Significantly, defendant does not dispute the DRA and the CA should be read together. Furthermore, because the court finds both the CA and DRA govern the same issue, i.e., dispute resolution between the parties arising from plaintiff’s employment, the court will consider the DRA and CA together pursuant to Civil Code section 1642. <i>Alberto</i>, 91 Cal.App.5th at 490-491. B. Code of Ethical Standards, Business Practices and Conduct Relying on a footnote in <i>Silva v. Cross Country Healthcare, Inc.</i> (2025) 111 Cal. App. 5th 1311, plaintiff argues “[b]ecause section 1642 codifies a common-law interpretive rule, it applies not only to separate ‘contracts,’ but also to related ‘instruments or writings.’” <i>Opp.</i> at 6. As explained above, the <i>Silva</i> court read the arbitration agreement and the employment agreement together based on the integration clause in the employment agreement and the absence of one in the arbitration agreement. <i>Silva</i>, 111 Cal. App. 5th at 1323. As the court found both agreements were contracts, <i>Silva</i>’s statement that section 1642 includes “other instruments or writings” was dicta. <i>Silva</i>, 111 Cal. App. 5th at 1322 n.9. Moreover, in the case the <i>Silva</i> court cited for
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the point, the court found that the agreements should not be read together because “clear and unequivocal” evidence the parties intended to do so was lacking, primarily because one of the agreements contained an integration clause. *R.W.L. Enters. v. Oldcastle, Inc.*, (2017) 17 Cal. App. 5th 1019, 1028 (“instruments do not show a ‘clear and unequivocal’ intention to incorporate each other”). Notably, *R.W.L. Enters.* did not involve arbitration at all. *Id.* Significantly, as *Silva* and a number of other cases explain, section 1642 “codifies a broader ‘common law principle[]’ and serves as a tool for ‘ascertaining the intention of the parties’ when their intent is ‘otherwise doubtful.’” *Silva*, 111 Cal. App. 5th at 1322; accord *Subaru of America, Inc. v. Putnam Automotive, Inc.* (2021) 60 Cal.App.5th 829, 841 (“Civil Code section 1642 is simply one of the rules referred to in Civil Code section 1637 for aiding in the interpretation of a contract when the intent of the parties is otherwise doubtful”). For the reasons explained below, the court does not find the intent of the parties as to the COE doubtful and section 1642 is thus inapplicable.

As an initial matter, plaintiff fails to cite any authority in which a code of conduct such as the COE was read together with an arbitration agreement pursuant to section 1642. This is unsurprising because a company’s internal policies and procedures like the COE do not generally create contractual obligations as might an employment or other bilateral agreement. Indeed, the COE makes that disclaimer express. “This Code of Ethics does not create any contract of employment or express or imply a promise that employment may be terminated only for the reasons stated herein.” ROA 59 Ex. 3 § XI(G). Instead, the COE expressly concerns “ethical standards, business practices, and conduct.” ROA 59 Ex. 3 at 1. It does not purport to provide a dispute resolution mechanism as “[a]ll questions regarding the interpretation, scope, and application of the policies set forth in this Code shall be referred to the Company’s Ethics Review Officer for resolution.” *Id.* § XI(H). It refers to internal “sanctions” and “disciplinary action.” *Id.* § XI(F). Additionally, the policies therein are expressly subject to change without notice as the company may establish “additional personnel policies and procedures or accounting and financial policies and procedures to monitor, enforce, enhance, remind, and to test compliance with this Code of Ethics.” *Id.* § XI(D).

The court finds that reading the DRA and COE together is not supported by the language of the COE or the authorities plaintiff relies upon. The Alberto court read the confidentiality agreement and the arbitration agreement together because it found “both governed, ultimately, the same issue—how to resolve disputes arising between Alberto and Cambrian arising from Alberto’s employment.” *Alberto*, 91 Cal.App.5th at 490-491. Here, there is no basis to conclude the DRA and the COE “govern[, ultimately, the same issue.” Additionally, by way of analogy, when courts have examined arbitration agreements contained in employee handbooks, they have found those arbitration agreements non-binding precisely because the handbooks also contained language similar to the COE, i.e., disclaiming the creation of a contract, stating the purpose of the document was to provide an understanding of company policies, and that the company reserved the right to modify the policies at any time. *Esparza v. Sand & Sea, Inc.* (2016) 2 Cal. App. 5th 781, 784; *Mendoza v. Trans Valley Transp.* (2022) 75 Cal. App.

5th 748, 781–82; see also *Harris v. TAP Worldwide, LLC* (2016) 248 Cal. App. 4th 373, 385 (“A contract is unenforceable as illusory when one of the parties has the unfettered or arbitrary right to modify or terminate the agreement or assumes no obligations thereunder.”). Accordingly, the court need not examine the COE in order to determine whether it renders the DRA unconscionable as Civ. Code section 1642 does not apply.

Unconscionability

In *OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, the California Supreme Court recognized that notwithstanding the strong public policy favoring arbitration, “‘generally applicable contract defenses, such as . . . unconscionability, may be applied to invalidate arbitration agreements without contravening’ the FAA’ or California law.” *Id.* at 125; accord *AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 339.

“Unconscionability analysis begins with an inquiry into whether the contract is one of adhesion. [Citation.] ‘The term [contract of adhesion] signifies a standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.’ [Citation.] If the contract is adhesive, the court must then determine whether ‘other factors are present which, under established legal rules—legislative or judicial—operate to render it [unenforceable].’” *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 113. 113.

To declare an agreement unenforceable, a court must find both procedural and substantive unconscionability. Procedural unconscionability focuses on oppression or surprise due to unequal bargaining power; substantive unconscionability looks at overly harsh or one-sided results. *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1243; see also *OTO, L.L.C.*, *supra*, 8 Cal.5th at 129-30. “[T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” *Armendariz*, *supra*, 24 Cal.4th at 114. Plaintiff bears the burden to demonstrate that the arbitration agreement is procedurally and substantively unconscionable. *Sanchez v. Carmax Auto Superstores California, LLC* (2014) 224 Cal.App.4th 398, 402.

A. Procedural Unconscionability

Defendant concedes the DRA was adhesive and thus procedurally unconscionable because assent was a mandatory condition of employment. By itself however, this results in a low amount of procedural unconscionability and does not render the DRA unenforceable. See, e.g., *Samaniego v. Empire Today, LLC* (2012) 205 Cal.App.4th 1138, 1145 (procedural unconscionability presumptively low absent evidence the defendant actively interfered with plaintiff’s ability to review and understand the arbitration clause).

Plaintiff argues that the circumstances of formation show “more than bare adhesion” and thus this case “involves more than minimal

unconscionability.” Opp. at 5. Plaintiff cites no authority to support the argument, as it lacks merit. Id. As stated above, it is immaterial whether the DRA was explained, read, or understood. *Randas v. YMCA of Metro. Los Angeles* (1993) 17 Cal.App.4th 158, 163 (“one who accepts or signs an instrument, which on its face is a contract, is deemed to assent to all its terms, and cannot escape liability on the ground that he has not read it”).

Accordingly, the evidence, at most, demonstrates a low amount of procedural unconscionability based on the adhesive nature of the DRA.

B. Substantive Unconscionability

Substantive unconscionability examines the fairness of a contract’s terms to ensure that a contract of adhesion does not impose terms that are overly harsh, unduly oppressive, or unfairly one-sided. *OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 129-30. The court focuses on terms that unreasonably favor the more powerful party, impair the integrity of the bargaining process, contravene public interest or policy, or attempt to impermissibly alter fundamental legal duties. This includes unreasonable or harsh terms or ones that undermine the non-drafting party’s reasonable expectations. Id. at 130.

1. Forum Advantage

To the extent plaintiff argues the DRA and CA create “ambiguity as to the forum,” the argument is meritless. The CA includes a provision providing that, to the extent “Employee is party to an arbitration agreement with the Company, the dispute shall be resolved as provided in the arbitration agreement.” ROA 59 Ex. 2 at 1-2. In other words, the provision does not carve out a different forum or render the dispute resolution forum ambiguous. Instead, it confirms all employment-related disputes between the parties must be resolved in arbitration.

2. Mutuality

Plaintiff argues the DRA lacks mutuality because the CA provides defendant certain advantages with respect to establishing its claims whereas plaintiff has no such advantage establishing her claims. In relevant part, the CA provides:

Employee recognizes and agrees that a violation of this Agreement will result in substantial injury and damage to the Company for which there is no adequate remedy at law and by reason thereof, in the event of a violation of this Agreement, the Company shall be entitled, in addition to any other remedies and damages available, to injunctive or other equitable relief to restrain the violation hereof by Employee and his/her representatives.

ROA 59 Ex.2 at 2. Specifically, plaintiff contends the CA requires her advanced consent that breach of the CA will cause defendant damage for which there is no adequate remedy at law and that defendant shall be entitled to injunctive or equitable relief. Plaintiff thus argues this consent permits

defendant to obtain injunctive relief without proving all the essential elements such as irreparable injury and waives an adequacy of damages defense. Opp. at 7.

While defendant is correct that any injunctive relief must be obtained in arbitration and that, in order to do so, defendant must post a bond, the court agrees with plaintiff that, on balance, this provision lacks mutuality and thus demonstrates substantive unconscionability. Specifically, the court interprets the CA's provision that plaintiff "agrees" that defendant's injury is one "for which there is no adequate remedy at law," as substantially or entirely dispensing with defendant's need show irreparable harm. While it is true other courts have analyzed agreements with more non-mutual components in the injunctive relief context, that does not neutralize the unlawful component present here. See *Alberto*, supra, 91 Cal. App. 5th at 492 (provisions that waive the employer's need to obtain a bond before seeking an injunction, waive the employer's need to show irreparable harm, and require an employee to consent to an immediate injunction are substantively unconscionable); *Silva v. Cross Country Healthcare, Inc.* (2025) 111 Cal. App. 5th 1311; *Lange v. Monster Energy Company* (2020) 46 Cal.App.5th 436, 451 ("An arbitration provision lacks mutuality and is substantively unconscionable when it authorizes the stronger party to obtain injunctive relief without establishing all of the essential elements for the issuance of an injunction."); *Carbajal v. CWPS, Inc.* (2016) 245 Cal.App.4th 227, 250 ("arbitration provision lacks mutuality and is substantively unconscionable when it authorizes the stronger party to obtain injunctive relief without establishing all of the essential elements for the issuance of an injunction"). The court thus finds the DRA demonstrates substantive unconscionability based on the injunctive relief provision in the CA.

3. PAGA Waiver

Plaintiff asserts the DRA is substantively unconscionable because it includes a wholesale PAGA waiver. A wholesale waiver of a PAGA claim is unquestionably unlawful. *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal. 5th 1104, 1125 (representative portions of PAGA claims cannot be waived). However, per *Viking River Cruises, Inc. v. Moriana* (2022) 142 S. Ct. 1906, the FAA allows a PAGA claim to be split into individual and representative portions, which the DRA provides:

To the full extent permitted under the law, the Parties agree to arbitrate solely on an individual basis. This Agreement does not permit class arbitration. To the full extent permitted under the law, this Agreement does not allow any claims brought as a plaintiff, class member or participant in any class or non-individual representative arbitration proceeding.

ROA 36 Ex. A at 2. In other words, the DRA precludes only the arbitration of a "non-individual representative" PAGA claim, but allows such a claim to proceed in court, and requires arbitration of the individual PAGA claim. *Id.* In such cases, the DRA provides that the individual PAGA claim is arbitrated first while the non-individual PAGA claim is stayed. *Id.* at 3 ("the parties agree that the arbitrable claims shall be resolved first and the non-

arbitrable claims shall be stayed pending completion of the arbitration proceedings”).

This procedure is consistent with California and Federal law. Following *Viking River*, the California Supreme Court held “a plaintiff who files a PAGA action with individual and non-individual claims does not lose standing to litigate the non-individual claims in court simply because the individual claims have been ordered to arbitration.” *Adolph*, 14 Cal. 5th at 1125. In such cases, the representative PAGA claim should be stayed and the individual PAGA claim should be ordered to arbitration. See 9 U.S.C. § 3; C.C.P. § 1281.4. The PAGA waiver is thus not substantively unconscionable.

4. Discovery

Plaintiff argues the DRA is substantively unconscionable based on a lack of adequate discovery. The argument is meritless.

The DRA requires the arbitrator to “order such discovery as the Arbitrator considers necessary to a full and fair exploration of the issues in dispute.” ROA 36 Ex. A at 4. The DRA then provides several illustrations of the “general” components of such discovery and that the arbitrator may order additional discovery upon a showing of substantial need. *Id.* As an initial matter, the arbitrator’s discretion as to the scope of discovery is not unconscionable. The applicable JAMS Employment Dispute Resolution Rules (the “JAMS Rules”) provide for the arbitrator’s discretion to determine what discovery is reasonably necessary. JAMS Rule 17. The California Supreme Court has found a similar provision rendered the discovery limitations valid and “eliminates any unconscionability.” *Ramirez v. Charter Communications, Inc.* (2024) 16 Cal. 5th 478, 506-07 (provision giving arbitrator the authority to resolve “all discovery disputes” in a manner that allows “a full and equal opportunity” was not unconscionable). Other courts have reached the same conclusion. See, e.g., *Lane v. Francis Capital Management LLC* (2014) 224 Cal.App.4th 676, 692 (provision giving arbitrator authority to order discovery for the “full and fair exploration of the issues in dispute” was sufficient).

Significantly, adequate discovery in arbitration does not equal unfettered discovery, and parties may agree to something less than what is available under the Code of Civil Procedure. *Sanchez v. Carmax Auto Superstores Cal, LLC* (2014) 224 Cal.App.4th 398, 404 (citing *Armendariz v. Foundation Health Psycare Servs., Inc.* (2000) 24 Cal.4th 83, 105-060). “[A]rbitration is meant to be a streamlined procedure. Limitations on discovery...is one of the ways streamlining is achieved.” *Dotson v. Amgen, Inc.* (2010) 181 Cal.App.4th 975, 983. “In striking the appropriate balance between the desired simplicity of limited discovery and an employee’s statutory rights, courts assess the amount of default discovery permitted under the arbitration agreement, the standard for obtaining additional discovery, and whether the plaintiffs have demonstrated that discovery limitations will prevent them from adequately arbitrating their statutory claims.” *De Leon v. Pinnacle Property Management Services, LLC* (2021) 72 Cal.App.5th 476, 487. Plaintiff has made no such demonstration here.

The court does not find the DRA unconscionable as to the discovery provision.

5. Onboarding Packet

Plaintiff appears to argue the “April 22, 2025 rehire packet” results in substantive unconscionability, but provides no argument or authority why the court should consider these documents. Opp. at 13-14. Accordingly, the court declines to examine these documents in this analysis as neither Civ. Code section 1642 nor any other authority of which the court is aware applies.

Severance

Plaintiff argues the Agreement is so permeated with unconscionability the court should not sever any unconscionable provisions in the interest of justice as it would condone the bad faith of defendant in forcing plaintiff to enter the one-sided arrangement. The court does not agree.

California law supports severing unconscionable terms from an agreement if the agreement can still function without them. Civ. Code § 1599 (“Where a contract has several distinct objects, of which one at least is lawful, and one at least is unlawful, in whole, or in part, the contract is void as to the latter and valid as to the rest.”); Civ. Code § 1670.5(a) (“If the court as a matter of law finds the contract or any clause of the contract to have been unconscionable at the time it was made the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result.”). More than one unconscionable provision does not preclude severance. *Lange v. Monster Energy Company* (2020) 46 Cal.App.5th 436, 454. “The strong legislative and judicial preference is to sever the offending term and enforce the balance of the agreement”. *Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 513.

The court does not find that unconscionability permeates the DRA. As explained above, the DRA contains a minimal amount of procedural unconscionability based on its adhesive nature. It contains one instance of substantive unconscionability based on the CA’s injunctive relief provision. Accordingly, the court exercises its discretion to sever the following substantively unconscionable provision from the CA and to enforce the DRA:

“for which there is no adequate remedy at law”

ROA 59 Ex. 2 at 2 ¶ 1. To the extent the injunctive relief provision may, even as severed, provide some nonmutual advantage to defendant, it has been recognized that some one-sidedness in this context is justified by the “legitimate commercial need to protect ... valuable trade secrets and[] confidential information.” *Baltazar v. Forever 21, Inc.* (2016) 62 Cal. 4th 1237, 1250.

		Based on the above, the DRA (as modified through severance of the CA) is enforceable and plaintiff is ordered to individually arbitrate her claims against defendant. Additionally, the class claims shall be dismissed, pursuant to the class action waiver. Both the Federal Arbitration Act and California law provide for a stay of proceedings pending arbitration. 9 U.S.C. § 3; CCP §1281.4. As such, the action shall be stayed, pending the completion of arbitration. Class Action Waiver The class action waiver is enforceable because the agreement is subject to the Federal Arbitration Act. <i>Epic Systems Corp. v. Lewis</i> (2018) 138 S. Ct. 1612, 1616; <i>Iskanian v. CLS Transportation Los Angeles, LLC</i> (2014) 59 Cal. 4th 348, 364. When an arbitration agreement does not authorize class arbitration of disputes, case law provides for dismissal without prejudice of the class claims. <i>Epic Systems, supra</i>, 138 Sup. Ct. 1612; <i>Stolt-Nielsen S.A. v. AnimalFeeds Int’l Corp.</i> (2010) 559 U.S. 662, 686; <i>Kinecta Alternative Financial Solutions, Inc. v. Superior Court</i> (2012) 205 Cal. App. 4th 506, 510-11. Accordingly, plaintiff’s class claims are dismissed without prejudice. Defendant is ordered to give notice of the ruling.
108	Dempsey vs. La Jolla Group, Inc. 2024-01416569	Motion for Approval of Class Settlement The Court has reviewed the supplemental materials provided by Class Counsel and finds that with two exceptions, they adequately address the previously identified issues. Accordingly, Jaime Dempsey; Jane Doe on behalf of her minor child J.D.; and Kaitlyn Vargas’s Motion for Preliminary Approval of Class Action Settlement is CONDITIONALLY GRANTED, pending submission of a further amendment to the long-form class notice and a further amended proposed order, as discussed below. This is a data breach class action. On 7/29/2024, Plaintiff Jaime Dempsey, individually and on behalf of all others similarly situated, filed a class action complaint against Defendant La Jolla Group, Inc. (ROA #2.) The operative complaint is the first amended complaint (FAC), filed on 10/9/2024. (ROA #16.) The FAC added two Plaintiffs: (1) Jane Doe, on behalf of her minor child J.D.; and (2) Kaitlyn Vargas. The FAC alleges 8 causes of action, as follows: 1. Negligence; 2. Invasion of Privacy; 3. Breach of Implied Contract; 4. Breach of Fiduciary Duty; 5. Breach of Confidence;

6. Violation of California Unfair Competition Law, Cal. Bus. & Prof. Code § 17200, et seq.--Unfair Business Practices;
7. Violation of the California Customer Records Act (“CCRA”) Cal. Civ. Code § 1798.80, et seq.; and
8. Violation of the California Consumer Privacy Act (“CCPA”) Cal. Civ. Code § 1798.150, et seq.

Defendant answered on 4/25/2025. (ROA #50.)

On 12/5/2025, Plaintiffs filed the instant Motion for Preliminary Approval of the Class Action Settlement, and submitted the Settlement Agreement and Release and various forms of class notice for the Court’s review. On 4/9/2026, the Court continued the first hearing on the matter and asked Class Counsel to address various issues. (ROA #102.) Counsel has submitted supplemental materials, including an amended Settlement Agreement and Release (“Settlement Agreement”) and an amended Class Notice.

The motion seeks preliminary approval of the parties’ proposed settlement of Plaintiffs’ class claims, with the Defendant La Jolla Group, Inc. agreeing to:

- (1) Pay for notice and administration expenses at the cost of \$17,925 (Settlement, ¶ 45);
- (2) Compensate Settlement Class Members who submit valid and timely claims, as follows:
 - a. Cash Compensation: \$95/person for the 2,293 California Subclass Members or \$45/person for the other 1,162 Settlement Class Members (Settlement, ¶¶ 3, 34, 43(c)); or
 - b. As an alternative to Cash Compensation, Out-of-Pocket Losses up to \$2,000/person (including Lost Time of up to \$100/person at a rate of \$25/hour for up to 4 hours), with an aggregate cap of \$50,000 (Settlement, ¶ 43(a));
- (3) Provide 24 months of Credit Monitoring Services with one national credit bureau that includes at least \$1 million in identity theft insurance for Settlement Class Members who submit valid and timely claims, which will cost Defendant \$2,380 to provide for all members of the Settlement Class (Settlement, ¶ 43(b));
- (4) Provide Service Award Payments to each of the Class Representatives at \$3,000 per named Plaintiff, subject to Court approval (Settlement, ¶¶ 47, 73); and
- (5) Pay attorneys’ fees and costs not to exceed \$225,000, as awarded by the Court (Settlement, ¶¶ 46, 75).

Based on a review of all papers submitted, including the Settlement Agreement, the Court finds the settlement falls within the range of what is considered fair and reasonable, subject to a final determination at the Final Approval hearing.

However, within ten (10) court days, Class Counsel must submit a further amended long-form class notice that provides a working link to

		the Court’s website in Section 3. The link added to Section 3 does not work and leads to a “404 Page Not Found” because the final quotation mark is included as part of the URL for the link. Also within ten (10) court days, Class Counsel must submit a further amended Proposed Order that specifies the ROA number of the Supplemental Declaration of Ben Travis, to which the Amended Settlement Agreement is attached. After Class Counsel makes these submissions, the Court will grant the Motion. The Motion for Final Approval will be heard on December 10, 2026 at 2:00 p.m. in Department CX102. All papers for the Motion for Final Approval must be filed and served no later than sixteen (16) court days before the hearing date. If Class Counsel cannot meet this deadline, then they must request a continuance of the hearing. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions. At the Final Approval hearing, evidence supporting the request for an award of attorneys’ fees should be presented in the form of time records or a summary of time spent on the substantive tasks, so as to enable the Court to evaluate the lodestar and costs claimed. Class Counsel should state by declaration whether time records were kept and created contemporaneously or otherwise. The Court also reminds Class Counsel that although a determination regarding the amount of the attorneys’ fees award will not be made until final approval, the Court is unlikely to approve attorneys’ fees in excess of thirty percent (30%) of the gross settlement amount absent unique circumstances. As a result, Class Counsel should address whether any such unique circumstances exist. Also at the Final Approval hearing, Class Counsel must also disclose whether counsel has any fee-splitting arrangement with any other counsel, or confirm none exists Additionally, at the Final Approval hearing, Plaintiffs and Class Counsel must provide detailed declarations describing circumstances to justify the requested enhancement awards and addressing the factors set forth in <i>Golba v. Dick’s Sporting Goods, Inc.</i> (2015) 238 Cal.App.4th 1251, 1272, and <i>Clark v. American Residential Services, LLC</i> (2009) 175 Cal.App.4th 785, 804. Each Plaintiff must provide an estimate of the hours spent participating in this litigation. Plaintiffs are ordered to give notice of this Court’s ruling within five (5) court days, and file proof of service.
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109	Garcia-Reyes vs. Fastcility Corporation, a California corporation 2024-01430431	Motion for Approval of Class Settlement The Court has reviewed the supplemental materials provided by Class Counsel and finds that they adequately address the previously identified issues. Accordingly, Joaquin Garcia-Reyes’s Motion for Preliminary Approval of Class Action and PAGA Settlement is GRANTED. This is a putative wage-and-hour class action and PAGA matter. On 10/4/2024, Plaintiff Joaquin Garcia-Reyes, individually and on behalf of all others similarly situated, filed a complaint against Defendant Fastcility Corporation. (ROA #2.) The operative complaint is the first amended complaint (“FAC”), filed on 1/6/2025, alleging various Labor Code wage-and-hour violations and unfair business practices, including a claim for PAGA penalties. (ROA #23.) Defendant answered the FAC on 2/5/2025. (ROA #25.) On 10/30/2025, Plaintiff filed the instant Motion for Preliminary Approval of the Class Action and PAGA Settlement, and submitted the Class Action and PAGA Settlement Agreement (“Settlement Agreement”) and Class Notice for the Court’s review. The motion seeks preliminary approval of the parties’ proposed settlement of Plaintiff’s class and PAGA claims for the non-reversionary gross settlement amount (GSA) of \$257,000. The GSA includes \$20,000 allocated for PAGA penalties. On 3/12/2026, the Court continued the first hearing on the motion and asked Class Counsel to address various issues. (ROA #76.) Counsel has submitted supplemental materials, including an Amended Class Action and PAGA Settlement Agreement (“Amended Settlement Agreement”) and an amended Class Notice. Based on a review of all papers submitted, including the Amended Settlement Agreement, the Court finds the settlement falls within the range of what is considered fair and reasonable, subject to a final determination at the Final Approval hearing. Within five (5) court days, Class Counsel must provide a further amended Proposed Order that, in the first paragraph, identifies the Amended Settlement Agreement rather than the original settlement agreement, and that also attaches all referenced exhibits. The Motion for Final Approval will be heard on December 3, 2026 at 2:00 p.m. in Department CX102. All papers for the Motion for Final Approval must be filed and served no later than sixteen (16) court days before the hearing date. If Class Counsel cannot meet this deadline, then they must request a continuance of the hearing. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions. At the Final Approval hearing, evidence supporting the request for an award of attorneys’ fees should be presented in the form of time records or a summary of time spent on the substantive tasks, so as to enable the Court to evaluate the lodestar and costs claimed. Class Counsel should state by
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		declaration whether time records were kept and created contemporaneously or otherwise. The Court also reminds Class Counsel that although a determination regarding the amount of the attorneys' fees award will not be made until final approval, the Court is unlikely to approve attorneys' fees in excess of thirty percent (30%) of the GSA absent unique circumstances. As a result, Class Counsel should address whether any such unique circumstances exist. Also at the Final Approval hearing, Class Counsel must also attest as to the details of any fee-splitting arrangement with any other counsel. Additionally, at the Final Approval hearing, Plaintiff and Class Counsel must provide detailed declarations describing circumstances to justify the requested enhancement award and addressing the factors set forth in <i>Golba v. Dick's Sporting Goods, Inc.</i> (2015) 238 Cal.App.4th 1251, 1272, and <i>Clark v. American Residential Services, LLC</i> (2009) 175 Cal.App.4th 785, 804. Plaintiff must provide an estimate of the hours spent participating in this litigation. Plaintiff to give notice of this Court's ruling, including to the LWDA, within five (5) court days, and file proof of service.
110	Lopez vs. CH Robinson Company, Inc. 2022-01259258	Motion for Approval of Class Settlement Plaintiff Javier Lopez's Motion for Preliminary Approval of Class Action and PAGA Settlement is CONTINUED to September 17, 2026, at 2:00 p.m. in Department CX102 in order to give Class Counsel an opportunity to address the issues identified below. This is a putative class action and PAGA matter involving alleged Labor Code violations and unfair business practices. On 5/12/2022, Plaintiff Javier Lopez, individually and on behalf of all others similarly situated, filed a class action complaint against Defendant CH Robinson Company, Inc. (ROA #2.) On 7/13/2022, Defendant answered. (ROA #17.) On 9/9/2022, the Court took notice that Plaintiff's separate PAGA action is a related case—i.e., Plaintiff's separate PAGA action against the same Defendant: <i>Lopez vs. CH Robinson Company, Inc.</i>, Case No. 30-2022-01273893. (ROA #23.) On 10/19/2022, Defendant filed a motion to compel arbitration. (ROA #36.) On 1/20/2023, the Court partially granted the motion and compelled Plaintiff's individual claim for waiting time penalties under Labor Code section 203 to arbitration, but stayed the remaining claims in this action, including the class action claim for waiting time penalties. (ROA #82.) On 2/10/2023, Defendant filed a notice of appeal of the Court's order partially denying Defendant's motion to compel arbitration. (ROA #86.) On 11/8/2024, the Court of Appeal affirmed in part and reversed in part. The appellate court "conclude[d] substantial evidence supports the trial

		court’s finding that Lopez is a transportation worker within the ambit of section 1’s exemption, following the two-step analysis in <i>Southwest Airlines Co. v. Saxon</i> (2022) 596 U.S. 450, 455–459 (<i>Saxon</i>). Because the FAA is inapplicable, [the appellate court] h[e]ld the individual reimbursement claim under Labor Code section 2802 is arbitrable.” (ROA #129.) Accordingly, the appellate court reversed “[t]he trial court’s order denying Robinson’s motion to compel arbitration as to Lopez’s individual reimbursement claim under Labor Code section 2802” and “remanded to the trial court to enter an order compelling Lopez to arbitrate this claim. In all other respects, the order is affirmed.” (<i>Id.</i>) In the meantime, on 2/28/2023, Plaintiff filed a demand for arbitration with the AAA, but the arbitration was stayed pending the ruling on Defendant’s appeal of the Court’s ruling on the motion to compel arbitration. The parties then agreed to extend the stay pending completion of a second day of mediation. (See ROA #140.) The parties participated in two mediations on 4/2/2024 and on 10/13/2025. (See ROA #145.) On 1/12/2026, the parties reported in a joint statement that they had settled the case. (ROA #150.) On 3/3/2026, pursuant to the parties’ stipulation and the Court’s order, Plaintiff filed the operative first amended complaint, which alleges 4 causes of action, alleging various Labor Code violations and unfair business practices, including a claim for PAGA penalties. (ROA #159.) Per the parties’ settlement agreement, this FAC would include the claims alleged in Plaintiff’s separate PAGA action, and the separate PAGA action would be dismissed without prejudice. On 3/17/2026, the parties filed a joint stipulation to dismiss the separate PAGA action. On 3/30/2026, filed the instant Motion for Preliminary Approval of the Class Action and PAGA Settlement, and submitted the Joint Stipulation of Class and Representative Action Settlement (“Settlement Agreement”) and Class Notice for the Court’s review. The motion seeks preliminary approval of the parties’ proposed settlement of Plaintiff’s class and PAGA claims for the non-reversionary gross settlement amount (GSA) of \$1,160,000. The GSA includes \$116,000 allocated for PAGA penalties. The Court has identified several issues with the Settlement Agreement and moving papers. Accordingly, the following issues must be addressed by Class Counsel before preliminary approval can be granted: 1. Class Counsel must provide estimates for the number of PAGA Aggrieved Employees and for the total number of PAGA pay periods. 2. The Settlement Agreement provides that unclaimed funds will be remitted to a cy pres recipient, Legal Aid at Work. Accordingly, the parties must provide a declaration demonstrating the propriety of the cy pres recipient and distribution under Code of Civil Procedure section 384. The parties should explain why a cy pres distribution fulfills the purposes of the lawsuit or is otherwise appropriate. (See
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		<i>State of Cal. v. Levi Strauss & Co.</i> (1986) 41 Cal.3d 460, 472; <i>In re Microsoft I-V Cases</i> (2006) 135 Cal.App.4th 706, 722.) 3. In the Settlement Agreement, the escalator clause applicable to the Class payment includes an option allowing Defendant to shorten the Class Period. This is problematic because it renders the Class Period uncertain and may result in eliminating otherwise eligible Class Members from the settlement. 4. Class Members must have the option of submitting requests for exclusion, objections, and workweek disputes by fax, email, and mail. The Court also notes that while the Settlement Agreement permits Class Members to submit requests for exclusion and pay period disputes by fax or mail, objections may only be mailed. 5. The Settlement Agreement does not address whether the Response Deadline for opt outs, objections, and pay period disputes will be extended for any remailed notices. Class Members who receive remailed notices should be given an extension of all relevant deadlines, preferably at least 30 days from remailing. 6. The Settlement Agreement at ¶ 52 states that “[t]he Settlement Administrator will decide if each Request for Exclusion meets the Agreement’s requirements.” The Settlement Agreement must provide that the Court has final say on the validity and authenticity of requests for exclusion. 7. Counsel’s declaration discloses that “[t]he Parties have also entered into a separate confidential settlement agreement resolving Plaintiff’s individual claims alleged in the arbitration proceeding.” (Counsel Decl., ¶ 16.) However, Plaintiff has not provided the Court with a copy of his individual settlement agreement. The Court must review Plaintiff’s individual settlement agreement as part of evaluating whether the instant settlement is fair, adequate, and reasonable and as part of determining whether and how much to award Plaintiff for any enhancement. Given that Plaintiff’s individual settlement agreement is purportedly confidential, Plaintiff’s counsel may submit the agreement for the Court review in camera by lodging a copy with the Court before the hearing. 8. Plaintiff’s counsel must attest to whether there are any concurrent pending cases involving similar claims against Defendant that may be impacted by the settlement and how, or confirm that there is none. Class Counsel must also provide the Court with a revised Class Notice with the following revisions: 1. The notice should be revised so as to be consistent with the resolution of the issues identified above. 2. The pages should be numbered. 3. The following sentences on p. 1 should be bolded: “Your legal rights are affected whether you act or not act. Read this Notice carefully.” The following sentence, also boded, should be added to the end of that paragraph: “You will be deemed to have carefully read and understood it.” 4. The “Summary of Your Legal Rights and Options in This Settlement” chart should provide 4 basic options: (1) do nothing, (2)
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		opt out, (3) object, either by submitting a written objection and/or by attending the Final Approval hearing, and (4) dispute workweeks. 5. Rather than having Class Members draft their own opt-out requests, objections, and workweek disputes, the Class Notice should include separate forms for each of these processes. 6. In addition to Class Counsel’s contact information and the URL to a website maintained by the settlement administrator, the notice should also provide the court’s URL for persons who wish to review the court’s docket for the case. Class Counsel must also provide a revised [Proposed] Order Granting Preliminary Approval with the following revisions: 1. The proposed order should be revised to incorporate the relevant revisions identified above, including attaching the revised Class Notice. 2. Attorney information must be deleted from the caption page. 3. The title of the document should add “and PAGA” between “Class Action” and “Settlement.” 4. The date for the preliminary approval hearing should be updated to reference the continued hearing date. 5. The proposed order should reference by name and ROA number all the declaration(s) to which the Settlement Agreement and any amendments thereto are attached. 6. All terms that require definition must either be defined in the proposed order itself or clearly incorporate by reference definitions found elsewhere in the record. 7. The proposed order should specify the amounts proposed to be allocated from the GSA to attorneys’ fees, litigation costs, enhancement(s), administration costs, and PAGA penalties (including to the LWDA and to Aggrieved Employees). 8. The proposed order should also include the definitions for PAGA Aggrieved Employees and the PAGA Period. 9. Counsel should not leave blank but should instead propose a realistic Final Approval hearing date, taking into account the deadlines associated with mailing and re-mailing the notice and responses thereto and the documentation required to support final approval (including but not limited to time records or a summary of time spent by Class Counsel so as to enable the Court to evaluate the lodestar and attorneys’ fee request; detailed litigation cost breakdowns; an Administrator declaration and invoice; and Plaintiff’s declaration to support the enhancement request). The Court usually sets these hearings at least 4 months after preliminary approval. All supporting papers must also be filed at least sixteen (16) court days before the Final Approval hearing date. 10. The proposed order should specify the Court’s continuing jurisdiction pursuant to both California Code of Civil Procedure section 664.6 and California Rules of Court, rule 3.769(h). The Court further refers Class Counsel to the “Guidelines for Approval of Class Action Settlements & PAGA Settlements” posted on the Court’s
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		website for Department CX102, available at https://voypubapps.occourts.org/complex-civil-calendar. Class Counsel must file supplemental papers addressing the Court’s concerns no later than sixteen (16) court days prior to the continued hearing date. Counsel must also provide redlined versions of all revised papers and an explanation of how the pending issues were resolved with precise citation to any revisions. A supplemental declaration or brief that simply asserts the issues have been resolved is insufficient and will result in a further continuance. Plaintiff is ordered to give notice of this Court’s ruling, including to the LWDA, within five (5) court days, and file proof of service.
111	Matute v. Textile Products, Inc. 2023-01354041	Motion for Preliminary approval of Class/PAGA Settlement Plaintiff Leandro Fajardo Matute’s Motion for Preliminary Approval of Class Action and PAGA Settlement is CONTINUED to August 27, 2026 at 2:00 p.m. in Department CX102 in order to give Class Counsel an opportunity to address the issues identified below. This is a putative wage-and-hour class action. There is a separate but related PAGA action. More specifically, On 10/4/2023, Plaintiff Leandro Fajardo Matute, individually and on behalf of all others similarly situated, filed a class action complaint against Defendants Textile Products, Inc. and Kordsa, Inc., alleging various Labor Code wage-and-hour violations and unfair business practices. (ROA #2.) On 3/21/2024, Defendants answered. (ROA #26, 29.) On 2/15/2024, the Court took notice of a related case—i.e., Plaintiff’s separately filed PAGA-only action, <i>Fajardo Matute v. Textile Products, Inc.</i>, Case No. 2023-01354032, which is also pending in this department. (ROA #21.) On 4/3/2026, Plaintiff filed the instant Motion for Preliminary Approval of the Class Action and PAGA Settlement, and submitted the Class Action and PAGA Settlement Agreement (“Settlement Agreement”) and Class Notice for the Court’s review. The motion seeks preliminary approval of the parties’ proposed settlement of Plaintiff’s class claims in this action and Plaintiff’s PAGA claim in the PAGA action for the non-reversionary gross settlement amount (GSA) of \$900,000. The GSA includes \$45,000 allocated for PAGA penalties. The Court has identified a few issues with the Settlement Agreement and moving papers. Accordingly, the following issues must be addressed by Class Counsel before preliminary approval can be granted: 1. In ¶ 7.5.2, the Settlement Agreement states twice that “[t]he Administrator’s Determination [of authenticity] shall be final and not appealable or otherwise susceptible to challenge.” (Settlement, ¶

		7.5.2.) But the Settlement Agreement must provide that the Court has final say on the validity and authenticity of requests for exclusion. 2. In ¶ 5.3, the Released PAGA Claims definition explicitly includes release of PAGA claims for “(12) willful misclassification (pursuant to Cal. Labor Code § 226.8).” The release of claims for PAGA penalties relating to “willful misclassification (pursuant to Cal. Labor Code § 226.8)” does not match the claims that were or reasonably could have been asserted based on the facts alleged in the LWDA notice letter. 3. The Settlement Agreement at ¶ 9.3 should specify that the Court’s continuing jurisdiction is pursuant to California Code of Civil Procedure section 664.6 and California Rules of Court, rule 3.769(h). 4. Also, in ¶ 11.19, the Settlement Agreement states that “[t]he Parties further agree and intend that the Los Angeles Superior Court may enforce this Agreement pursuant to Code of Civil Procedure § 664.6.” However, the correct court for this case is Orange County Superior Court. Class Counsel must also provide the Court with a revised Class Notice with the following revisions: 1. The notice should be revised so as to be consistent with the resolution of the issues identified above. 2. The following sentences on p. 1 should be bolded: “Your legal rights are affected whether you act or not act. READ THIS NOTICE CAREFULLY. You will be deemed to have carefully read and understood it.” 3. The notice should state that any Class Member who does not request exclusion may, if the Member so desires, enter an appearance through counsel. (Cal. Rules of Court [CRC], rule 3.766(d)(5).) 4. In Section 17, the first paragraph may be interpreted as advising Class Members to wait to object until after Plaintiff has filed a motion for final approval, which need not occur until 16 court days before the final approval hearing date and may therefore occur after Class Members’ deadline to send written objections. The notice should simply inform Class Members of the deadline for the parties’ filings in support of final approval as well as the final approval hearing date. 5. In Section 22, the link to the Court’s website does not work. 6. The notice should specify that the judgment, “whether favorable or not,” will be binding all Class Members who do not request exclusion. (CRC, rule 3.766(d)(4).) Class Counsel must also provide a revised [Proposed] Order Granting Preliminary Approval with the following revisions: 1. The revised proposed order should attach the revised class notice. 2. Attorney information must be deleted from the caption page. 3. The proposed order should reference by name and ROA number all the declaration(s) to which the Settlement Agreement and any amendments thereto are attached.
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		4. The proposed order should specify the Court’s continuing jurisdiction pursuant to both California Code of Civil Procedure section 664.6 and California Rules of Court, rule 3.769(h). 5. In light of the continuance of this motion, the parties may wish to change the proposed date for the final approval hearing. The Court further refers Class Counsel to the “Guidelines for Approval of Class Action Settlements & PAGA Settlements” posted on the Court’s website for Department CX102, available at https://voypubapps.occourts.org/complex-civil-calendar. Class Counsel must file supplemental papers addressing the Court’s concerns no later than sixteen (16) court days prior to the continued hearing date. Counsel must also provide redlined versions of all revised papers and an explanation of how the pending issues were resolved with precise citation to any revisions. A supplemental declaration or brief that simply asserts the issues have been resolved is insufficient and will result in a further continuance. Plaintiff is ordered to give notice of this Court’s ruling, including to the LWDA, within five (5) court days, and file proof of service.
112	Lopez vs. Atrium Hospitality LP 2022-01245971	Motion for Final Approval The court has reviewed and considered the papers filed in support of plaintiff’s motion for final approval of a \$150,000 class action and PAGA settlement. The court GRANTS the motion as follows: \$5,000.00 for enhancement award to plaintiff; \$45,000.00 for attorneys’ fees; \$11,420.85 for litigation costs; \$6,850.00 for settlement administration costs; and \$10,000.00 total PAGA penalties (\$7,500.00 to the LWDA). Plaintiff to submit a revised proposed order reflecting the above disbursements. Plaintiff must also submit a redline version showing all changes. The final accounting hearing is scheduled for August 5, 2027 at 2:00 p.m. in Department CX102. Plaintiff shall submit a final accounting report at least 16 court days before the final accounting hearing regarding the status of the settlement administration. The final report must include all information necessary for the court to determine the total amount actually paid to class members and aggrieved employees and any amounts tendered to the State Controller’s Office under the unclaimed property law. If all funds are not fully and finally disbursed prior to the filing deadline, including to the State Controller, plaintiff must request a continuance.

		Plaintiff is ordered to give notice, including to the LWDA, and to file a proof of service.
113	Embee Inc vs. Safeco Insurance Company of America 2012-00586683	Motion for Summary Judgment and/or Adjudication Defendant Fireman’s Fund Insurance Company (Fireman’s Fund) moves for summary judgment against the fourth amended complaint of plaintiff Embee, Inc. fka Embee Plating (Embee). ROA 1979. The operative pleading alleges two causes of action against defendant: (1) breach of contract; and (2) and breach of the covenant of good faith and fair dealing. <i>Id.</i> In the alternative, defendant Fireman’s seeks summary adjudication of the following causes or action and/or issues: (1) First Cause of Action for Breach of Contract; (2) Second Cause of Action for Breach of the Implied Covenant of Good Faith and Fair Dealing; (3) Fireman’s Fund’s Seventh Affirmative Defense - Prohibition Against Voluntary Payments; and (4) Fireman’s Fund has no duty to pay costs incurred pursuant to Embee’s Corrective Action Consent Agreement with the Department of Toxic Substances Control as defense or indemnity costs for the Orange County Water District Action because Embee violated the no-voluntary-payments provision in each of the insurance policies at issue. Notice of Motion (ROA 2016) 2:6-19. For the following reasons, defendant’s motion for summary judgment is denied, and defendant’s motion for summary adjudication is denied. <i>Legal standard</i> A defendant seeking summary judgment bears its burden of showing that a cause of action has no merit if the defendant shows that one or more elements of the cause of action cannot be established, or that the defendant has a complete defense to the cause of action. Cal. Civ. Proc. Code § 437c(p)(2); <i>Aguilar v. Atlantic Richfield Co.</i> (2001) 25 Cal.4th 826, 850-51. If a defendant does not meet this initial burden, the plaintiff need not oppose the motion and the motion must be denied. <i>Binder v. Aetna Life Ins. Co.</i>

(1999) 75 Cal.App.4th 832, 840. If the defendant meets this initial burden, the burden shifts to the plaintiff to produce evidence demonstrating the existence of a triable issue of material fact. Cal. Civ. Proc. Code § 437c(p)(2); *Aguilar*, 25 Cal.4th at 850-51.

A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if that party contends that the cause of action has no merit or that there is no affirmative defense thereto, or that there is no merit to an affirmative defense as to any cause of action, or both, or that there is no merit to a claim for damages, as specified in Section 3294 of the Civil Code, or that one or more defendants either owed or did not owe a duty to the plaintiff. Cal. Civ. Proc. Code § 437c(f)(1). A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty. *Id.*

A motion for summary adjudication “shall proceed in all procedural respects as a motion for summary judgment.” *Choochagi v. Barracuda Networks, Inc.* (2020) 60 Cal.App.5th 444, 453. “The moving party ‘bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact; if [the movant] carries [this] burden of production,’ the burden of production shifts to the opposing party ‘to make a prima facie showing of the existence of a triable issue of material fact.’” *Id.*

“[I]t is well established that the operative pleading frames the issues for purposes of summary judgment . . .” *Restivo v. City of Petaluma* (2025) 111 Cal.App.5th 267, 279. “The pleadings delimit the issues to be considered on a motion for summary judgment. [Citation.] The defendant must present facts to negate each claim as framed by the complaint or establish a defense.” *Turner v. State of California* (1991) 232 Cal.App.3d 883, 891.

Analysis

As stated above, Fireman’s moves for summary judgment or, in the alternative, summary adjudication, against plaintiff’s fourth amended complaint, which is the operative pleading. Brief (ROA 2010) 2:20-22. The fourth amended complaint alleges:

“6. Fireman’s Fund issued primary general liability policies to Embee for the policy period April 1, 1977 to May 1, 1981, policy numbers MXP 289 44 86, MXP 300 53 45, and MXX 396 63 58 and excess policies XLB 142 10 59 and XLB 145 59 77 for the policy periods April 1, 1980 to April 1, 1982, each with a limit of liability of \$1,000,000 per occurrence and \$1,000,000 in the aggregate. Each excess policy includes an insuring agreement which obligates Fireman’s Fund to “assume charge of the settlement or defense of any claim or suit . . .to which no primary insurance applies . . .

...

		13. Embee submitted certain costs to Fireman’s Fund with respect to costs incurred after May 31, 2017. 14. These costs represent defense costs, or indemnity costs, or both. 14. These costs represent defense costs, or indemnity costs, or both. 15. Fireman’s Fund has refused to pay these defense costs, or indemnity costs, thereby breaching its duty to defend or indemnify the DTSC Proceedings and the OCWD action. ... 18. Fireman’s Fund unreasonably denied coverage for costs of defense, or indemnity, including but not limited to the cost of investigating groundwater and indoor air. 19. Fireman’s Fund failed to conduct a proper investigation. 20. Fireman’s Fund concluded, unreasonably, that all of the costs in question constitute remediation costs, rather than investigative costs, and are not covered for that reason. Assuming that some or all of the costs in question are remediation costs, then Fireman’s owed them under its duty to indemnify. Assuming that some or all of the costs in question are investigation costs, then Fireman’s owed them under the duty to defend.” ROA 1979. Defendant contends summary judgment should be granted because plaintiff’s “claim for breach of contract is precluded by Embee’s breach of the no-voluntary-payments provision contained in each of the insurance policies at issue” (Notice (ROA 2016) 2:11-13) and “because Embee is not entitled to coverage under any insurance policy, Embee cannot establish a claim for breach of the implied covenant of good faith and fair dealing” (<i>id.</i> 13-14). Plaintiff alleges in the fourth amended complaint that “Fireman’s Fund issued primary general liability policies to Embee for the policy period April 1, 1977 to May 1, 1981, policy numbers MXP 289 44 86, MXP 300 53 45, and MXX 396 63 58...” ROA 1979, ¶ 6. Fireman’s motion addresses only one of the three primary general liability policies alleged in the operative pleading. Brief (ROA 2010) 3:9-12; Separate Statement of Material Facts in Support (ROA 2012) UMF Nos. 1-2. Defendant has not presented any evidence or argument pertaining to the existence of “the no-voluntary-payments provision” in Fireman’s primary general liability policies “MXP 300 53 45, and MXX 396 63 58” that were purportedly issued to Embee, as alleged in the fourth amended complaint. In addition, defendant’s separate statement is deficient as it does not comply with California Rule of Court 3.1350. Defendant’s separate statement, which states it supports “its Motion for Summary Judgment, or in the alternative, Summary Adjudication with respect to Embee’s First Cause of Action for Breach of Contract and FFIC’s Seventh Affirmative Defense” (ROA 2012 at
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2:3-5) – lists 38 allegedly undisputed material facts that defendant apparently contends apply equally to each of the two causes of action alleged against it in the fourth amended complaint.

California Rule of Court 3.1350(d) states:

“The Separate Statement of Undisputed Material Facts in support of a motion must separately identify:

“(A) Each cause of action, claim for damages, issue of duty, or affirmative defense that is the subject of the motion; and

“(B) Each supporting material fact claimed to be without dispute with respect to the cause of action, claim for damages, issue of duty, or affirmative defense that is the subject of the motion.”

Cal. R. Ct. 3.1350(d).

In contravention of rule 3.1350(d), defendant’s separate statement does not separately identify “each cause of action . . . that is the subject of the motion,” and “each supporting material fact . . . with respect to the cause of action . . . that is the subject of the motion.” Cal. R. Ct. 3.1350(d). In addition, the materiality of the 38 allegedly undisputed material facts to each of the two causes of action is unclear and unexplained. For example, the court cannot discern the materiality of Undisputed Material Fact Nos. 33 and 34 to the two causes of action on which defendant seeks summary judgment. ROA 2012.

Moreover, “[t]he paragraphs in a separate statement should be limited to facts that address the elements of a cause of action or an affirmative defense.” *Beltran v. Hard Rock Hotel Licensing, Inc.* (2023) 97 Cal.App.5th 865, 875; *see also* Cal. R. Ct. 3.1350(d)(2) (“The separate statement should include only material facts and not any facts that are not pertinent to the disposition of the motion.”). Preparation of a proper separate statement is not a pedantic exercise. “The separate statement serves two important functions in a summary judgment proceeding: It notifies the parties which material facts are at issue, and it provides a convenient and expeditious vehicle permitting the trial court to hone in on the truly disputed facts.” *Id.* A separate statement that lists 38 undifferentiated facts in relation to two different causes of action is neither convenient nor expeditious.

In sum, defendant failed to carry its initial burden on the motion. Defendant did not present any evidence or argument regarding the applicability of the two of the three Fireman’s primary general liability policies alleged in the fourth amended complaint, i.e., policy numbers “MXP 300 53 45, and MXX 396 63 58.” Thus, defendant failed to show one or more elements of each cause of action cannot be established, or that the defendant has a complete defense to each cause of action.

In addition, defendant did not separately identify in its separate statement the causes of action on which it seeks summary judgment and each supporting material fact claimed to be without dispute with respect to each cause of

action. The court thus has no basis on which to conclude that defendant demonstrated that one or more elements of each cause of action cannot be established, or that defendant has a complete defense to each cause of action. Defendant's motion for summary judgment is denied.

Defendant's motion for summary adjudication is also denied because the separate statement does not comply with California Rule of Court 3.1350(b), (d) and (h). Cal. R. Ct. 3.1350(b) ("If summary adjudication is sought, whether separately or as an alternative to the motion for summary judgment, the specific cause of action, affirmative defense, claims for damages, or issues of duty must be stated specifically in the notice of motion and be repeated, verbatim, in the separate statement of undisputed material facts."); *see also Schmidlin v. City of Palo Alto* (2007) 157 Cal.App.4th 728, 743-44; Cal. R. Ct. 3.1350(d) ("The Separate Statement of Undisputed Material Facts in support of a motion must separately identify: (A) Each cause of action, claim for damages, issue of duty, or affirmative defense that is the subject of the motion; and (B) Each supporting material fact claimed to be without dispute with respect to the cause of action, claim for damages, issue of duty, or affirmative defense that is the subject of the motion"); Cal. R. Ct. 3.1350(h) (format of separate statement supporting summary adjudication motion).

Based on defendant's notice of motion, Fireman's seeks summary adjudication of the first cause of action for breach of contract, the second cause of action for breach of the implied covenant of good faith and fair dealing, the seventh affirmative defense, and the issue that "Fireman's Fund has no duty to pay costs incurred pursuant to Embee's Corrective Action Consent Agreement with the Department of Toxic Substances Control as defense or indemnity costs for the Orange County Water District Action because Embee violated the no-voluntary-payments provision in each of the insurance policies at issue." Notice of Motion (ROA 2016) at 2:6-19.

As stated above, defendant's separate statement states it supports "its Motion for Summary Judgment, or in the alternative, Summary Adjudication with respect to Embee's First Cause of Action for Breach of Contract and FFIC's Seventh Affirmative Defense" (ROA 2012 at 2:3-5). The separate statement is deficient because the causes of action and/or issues identified in defendant's notice of motion are not "repeated, verbatim, in the separate statement of undisputed material facts." The separate statement also lists different issues than those identified in the notice of motion. *Compare* Notice of Motion (ROA 2016) at 2:6-19 *with* Separate Statement (ROA 2012) at 2:4-5.

Accordingly, defendant's motion for summary adjudication of the causes of action and/or issues identified in defendant's notice of motion is denied.

Defendant's Request for Judicial Notice (ROA 2014) is denied as the document was not material to the disposition of the motion.

Defendant's Evidentiary Objections to Plaintiff's Compendium of Evidence in Opposition (ROA 2041) were not material to the disposition of the motion.

		Plaintiff Embee to give notice.
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